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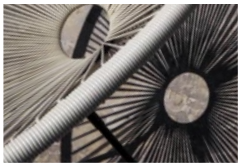
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Editorial

Dear Reader,

Buying a house is about much more than making an entry in the land register: It marks the start of a financial partnership based on trust and debt—a principle that has bound people together for millennia. In ancient Mesopotamia, debts were recorded on clay tablets; in the Middle Ages, claims and counter-claims were documented using tally sticks. Trust remains the key currency in the real estate market today. Lending is what makes it possible to own or build a home, creating the property ladder so many Swiss people gradually work their way up.

Here, as elsewhere, a sense of proportion is crucial. Debt is the engine of growth and prosperity—as long as it remains affordable. If the balance starts to wobble, what was a benefit tips over into being a risk. From debt forgiveness in the ancient world to modern financial crises, history shows the borderline between stability and excess is narrow.

Recent years have seen the situation become increasingly acute. Government debt has hit new highs all over the world and mortgage volumes continue to climb. Household debt in Switzerland is relatively high by international standards. But strict affordability rules, prudent lending, and fiscal discipline provide solid foundations. Other markets are exposed to considerable fluctuations, but Switzerland benefits from reliability and clear guidelines.

Stability cannot be taken for granted, though. Demographic change, rising health care costs, and geopolitical uncertainties demand caution and foresight. What turns debts into risks is not just their size, but also how responsibly they are managed—along with trust in institutions, rules, and market participants.

In this year's Real Estate Focus, among other things, we look at how debt, regulation, and innovation are shaping the Swiss real estate market, what opportunities are emerging, and where risks are appearing—and why a sensible number of notches in your tally stick is often the best protection against unexpected turmoil.

We hope you find it an inspiring read.

Claudio Saputelli
Head Global Real Estate



Debt



From a promise to an obligation

Debt has been a feature of human existence for thousands of years. The benefits and risks involved are closely tied up with trust, morality and the legal framework. A look at the past shows how debt generates prosperity – and why it constantly has to be brought back under new regulations.

Matthias Holzhey, Claudio Saputelli

The word debt comes from the Latin *debitum* (obligation), which is derived from *debere*: "to temporarily possess something that originally belonged to someone else and so has to be given back." This is the fundamental principle that still underlies the economic process of exchange today: Goods are handed over in return for a promise to settle later, along with the legal or moral obligation to honor that promise. Trust that repayment will take place at a future date is based on this interaction and forms the basis for all borrowing. It is the foundation of a reliable system of exchange that facilitates commerce and makes economic growth possible.

Keeping tally

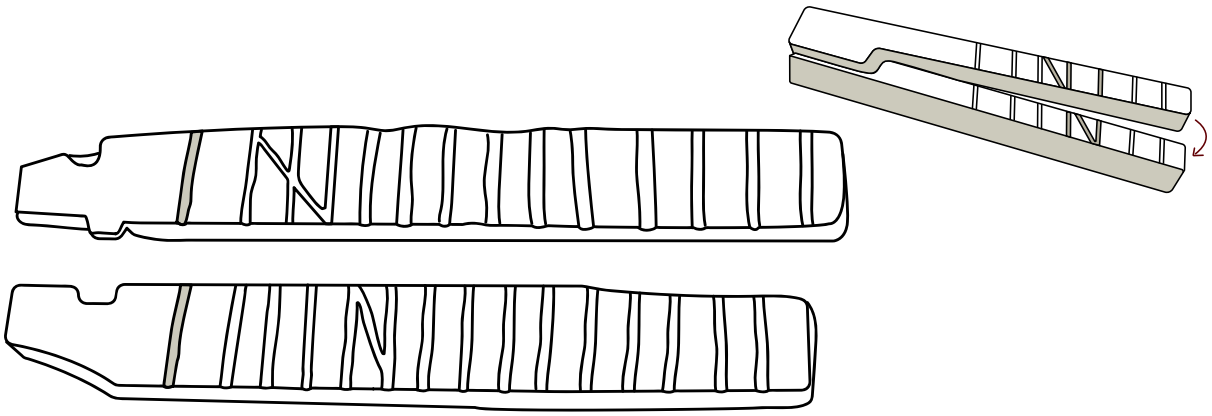
As early as the high civilizations of Mesopotamia (c. 3500 to 539 BCE), obligations were set down on clay tablets – an early form of written pledge. In a sense, these clay tablets are the ancestors of our credit cards: buy now, pay later.

In the Middle Ages, too, people were looking for reliable ways of documenting debt. One simple and secure method was the tally stick: a wooden stick with notches cut into it, which was then split in two. Each party got one half, and when the two were put together the notches had to match exactly. This made cheating almost impossible. The ability to record and check debt turned a simple promise into a verifiable obligation – the basis for complex commercial relationships.

Figure 1

The tally stick: the medieval system for documenting debts

Illustration of a tally stick



Debt makes it possible to invest.
Debt forms the basis for investment and economic progress, generating prosperity. Under the Roman Empire, farmers could borrow seed, plant their fields and repay the debt with interest after the harvest. The ability to operate on credit helped them increase their output. Without loans of this sort, valuable resources would have lain fallow. Debt benefited farmers, seed providers and the community.

Even today, debt is a firm component of our economy and our society – for instance, when building homes or financing education and public infrastructure. Without it, major steps forward in innovation would scarcely be conceivable; from building railways to the current boom in data centers for artificial intelligence.

...but can become a burden
Debt is essential for economic development, but all borrowing involves risk. Across many periods of history, excessive interest rates, unfair contractual terms or unpredictable events such as war and natural disaster have caused entire groups of people to fall into too much debt. If the cost of servicing grows faster than income, countries and communities can fall into a downward spiral – with severe consequences such as social tension, revolts and revolutions.

Debt can also quickly become an issue for individuals, and millions of households all around the world today are overindebted. Unemployment, illness, divorce or unexpected outgoings weaken financial stability and can quickly lead to existential problems. The central challenge is to structure borrowing in a way that opens up opportunities without resulting in poverty in the long term.

From debt cancellation to a moral code
Many cultures make use of debt cancellations as a way of combating overindebtedness – from the "jubilee year" of the Old Testament to the large-scale debt relief programs of our own day. Many countries have mechanisms for limiting as far as possible or reducing unsupportable debt; moratoriums, reschedulings or legal bankruptcy proceedings, for example. Canceling debt can be important for social cohesion, but makes lending more expensive.

If it is to act as an instrument of progress and prosperity, people have to be confident agreements will be honored. Sets of rules therefore emerged over time, from Christianity's ban on usury to the "code" of repaying on time, to limit abuses of power, protect debtors from inescapable dependency and enforce legitimate claims. The penalties in the ancient world or the Middle Ages for not meeting your obligations were often harsh: prison, the pillory or servitude. Nowadays, courts and insolvency proceedings strike a balance between creditors and debtors. Modern law of obligations combines moral principles with practical methods of protection.

The credit revolution of the modern era: new formats, old principles
Modern banking began with the spread of double-entry bookkeeping in the fourteenth century and the foundation of the Bank of England in 1694. Paper money meant states could borrow on an unprecedented scale. New financial instruments made debt more flexible and widely accessible – but also more complex and risky. The consequences of this soon became apparent: tulip mania in the Netherlands in 1637 and the Mississippi bubble in France after 1717 are examples of credit-driven speculative bubbles that caused great collateral damage when they burst. More recently, the financial crisis of 2008 demonstrated how rapidly financial innovation can result in excess debt and a loss of trust in the borrowing system – with knock-on effects for the entire economy.

The lesson of the past: risk and progress go hand in hand together. The principles remain constant, though: trust and obligation. These days, global interlinkages, digital currencies and new forms of credit are the order of the day. What is new are the speed and complexity of the instruments.

Debt remains a balancing act

Political instruments like the debt brake, debates on cancellation of debts and the amount of borrowing that is appropriate for intergenerational justice are a sign of the ongoing struggle to strike the right balance. "The dose makes the poison," said Paracelsus. Applying this principle to the borrowing system indicates that it's not debt in itself which is a problem, rather how much of it there is, how it is structured and how it is dealt with. The future of both public and private finances depends on rules remaining reliable and trusted. All debt represents a balancing act between risk and a promise in the future.

Box 1

A history of mortgages

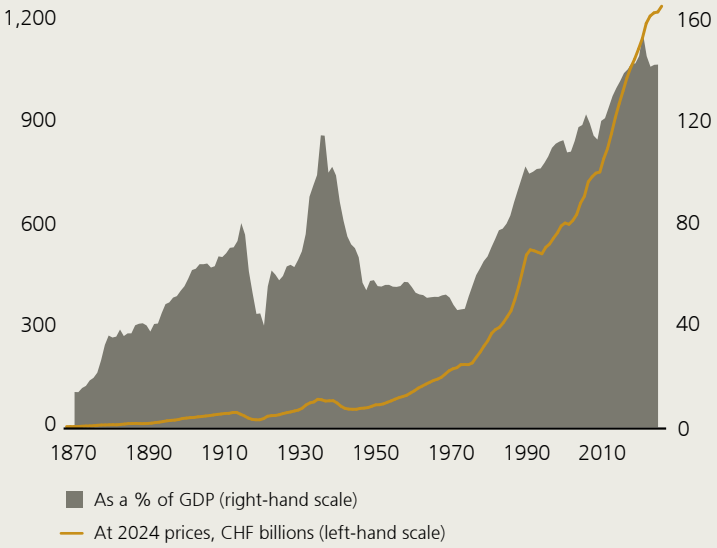
The roots of mortgages date back to antiquity. The word comes from the Ancient Greek for "pledge." Land is particularly trusted as a pledge, as it is stable in value and cannot be moved. Generally, it was wealthy people who pledged their land for loans to meet their other outgoings. A stone was the symbolic mark of a pledge. If the borrower was unable to pay, the lender took possession of the land.

The modern mortgage system arose at the same time as the banking system. In Switzerland, mortgage volumes started to rise from the middle of the nineteenth century onwards, as industrialization got under way and the cantonal banks were set up. 1912 marked a significant milestone, when the Swiss Civil Code came into effect, creating a single legal basis. The two world wars brought setbacks. Over the last 50 years, mortgage volumes have again grown faster than the economy, driven by rising property prices, prosperity and product innovations in the financial sector.

Figure 2

50 years of mortgage boom

Mortgage volumes in Switzerland, in CHF and as a percentage of GDP



Sources: Jordà et al. 2017 [1], SNB, FSO, SECO, UBS

1 Jordà, Òscar, Schularick, Moritz and Taylor, Alan M. (2017): Macrofinancial History and the New Business Cycle Facts, in: Eichenbaum, Martin and Parker, Jonathan A. (eds), NBER Macroeconomics Annual 2016, vol. 31, Chicago: University of Chicago Press.

Not a safe haven

Government debt is becoming an increasing challenge all over the world. Many governments used to be able to rely on inflation to reduce their debt, which would also cut the value of real estate borrowings. But the way things look now, property owners will have to brace for rising nominal interest rates and the possibility of tax hikes.

Thomas Rieder, Maciej Skoczek

According to the International Monetary Fund (IMF), between 2001 and 2024, the amount of debt owed by industrialized countries rose from 17% of gross domestic product (GDP) to 109%. This is expected to climb further to almost 120% by 2030. The driving factors are demographic aging and higher expenditure on health care and defense.

Crises and a failure to consolidate

When government spending exceeds income, the resultant budget deficit is financed by new debt. In the past, this has particularly been the case in periods of crisis – for example, after the 2007 global financial crisis, during the euro crisis after 2010, and during the pandemic that began in 2020.

However, governments are often unable to reduce the debts built up during a crisis once the economy is doing better again. France, Spain and Italy are good examples – they have seen their debt levels shoot up recently. Even countries that have a debt brake are not sufficiently rigorous about applying it.

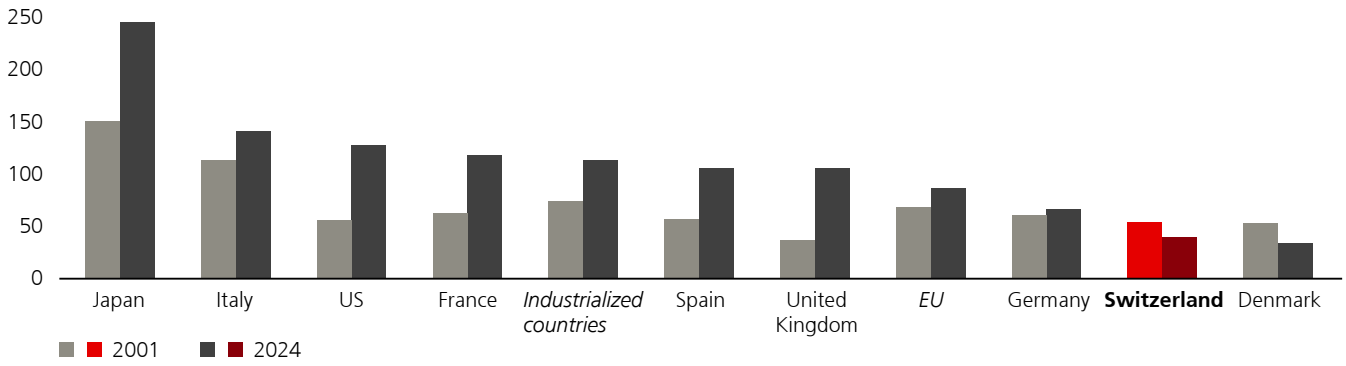
Little incentive to cut debt

The incentive to expand government debt is considerable, as it increases the scope for financial policy. Investments can be financed without any additional income, and economic fluctuations can be smoothed out by fiscal policy and stimulus programs. Countries with developed economies can borrow cheaply, mainly via long-term government bonds, because they have a good rating. This means the burden is passed on to future generations.

Figure 3

Government debt is rising

Government debt for the country as a whole (gross) as a percentage of gross domestic product (GDP)



Sources: IMF, UBS

High government debt can in turn affect a country's credit rating, triggering a downgrade by the rating agencies and pushing up funding costs significantly. The economic consequences, when taken together with the resulting loss of trust in the country's solvency by investors and financial markets, can be drastic. In Greece between 2007 and 2011, for example, the debt ratio rose from 105% of GDP to 175% and ten-year bond yields climbed from just under 5% to over 34%. Over the years that followed, unemployment climbed from 8% to 28% and gross domestic product declined more than one-quarter. Property prices in real terms halved between 2008 and 2016, and are still some 20% lower than they were before the crisis.

Looming debt spiral

As the industrialized nations have fallen deeper into debt, interest payments have risen, further restricting the financial room for maneuver. As long as interest rates remained very low, servicing the debt was not really a problem. But ever since low interest rates came to an end in 2022, the picture has changed fundamentally. In 2020, the G7 countries were spending around 6.5% of their income on interest payments. By 2023, this figure had risen to almost 10% and to roughly 13% in the US. Unless interest rates come down, debt servicing costs will continue to grow. If new borrowing is needed to pay off old debts, there is the risk of a debt spiral.

Countries can pursue austerity to reduce their debts – cutting expenditure, raising taxes or a combination of the two. The lesson of the past, though, is that savings programs and tax hikes frequently encounter major resistance and can threaten to topple ruling parties from power. Hence, governments often look for alternative ways to reduce the debt burden.

Financial repression: an expensive way out

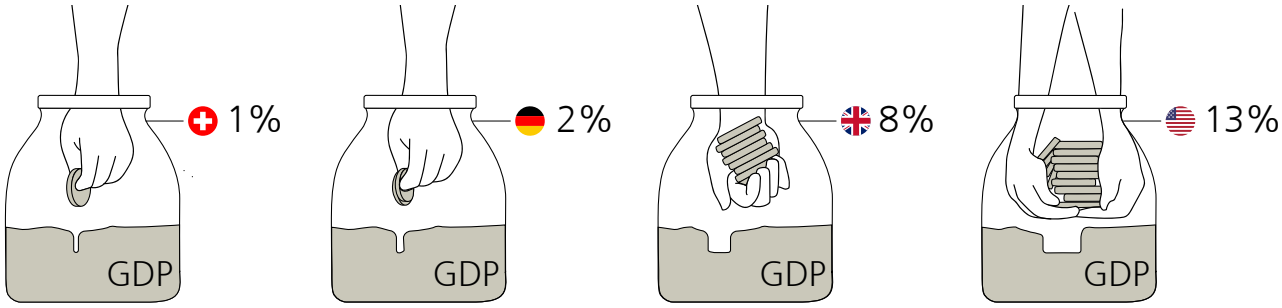
Countries are keen to avoid going bankrupt because the costs involved are extremely high. According to *The Economist,*[2] deliberately accepting higher inflation is the most likely reaction to the debt problem: rising inflation steadily eats away at the real level of debt while encouraging nominal economic growth. Central banks can come under pressure to keep interest rates low (ignoring price stability) and restrict access to higher-yielding investments. This is known as financial repression, a policy that means investors have almost no alternative but to invest in low-yielding government bonds.

Governments will likely have few scruples about bringing in such measures, since financial repression has been widespread in the recent past; the European Central Bank (ECB) pursued an aggressive policy of low interest rates between 2012 and 2022, buying government bonds on a large scale to keep yields down. Greece even introduced exchange controls in 2015 to stem the flow of capital abroad.

Figure 4

The rising interest burden restricts room for maneuver

Interest expense on government debt as a percentage of 2023 gross domestic product



Sources: IMF, UBS

2 The Economist: The coming debt emergency. 18 October 2025, p. 9.

Consequences for the real estate market

Financial repression can have a positive impact on the demand for real estate and support the market by keeping financing costs artificially low. Regulatory interventions such as exchange controls can also boost demand for domestic investments that offer protection against inflation – such as properties with indexed rents.

Reducing the value of debt by inflation
As long as interest rates stay at moderate levels and property prices are stable in real terms, real estate owners can even benefit from persistent inflation; with 5% inflation, for example, the real value of debt falls by roughly 40% within ten years. Wealth shifts from lenders to borrowers, and leveraged real estate investors profit from this.

In principle, real estate offers a degree of protection against inflation; in practice, though, this is often limited. Home owners benefit from a falling debt ratio, but rising interest rates caused by inflation can impact demand for residential property and hurt price performance. With residential investment properties in Switzerland, only a portion of inflation can be passed on to the rent (currently 40%), whereas commercial rents can be wholly adjusted in line with inflation.

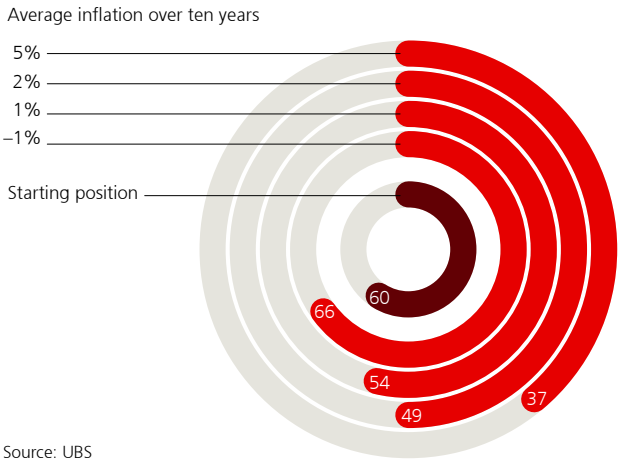
The threat of higher interest rates and taxes
In overindebted countries engaged in financial repression, property owners can not only expect higher inflation, but also higher nominal interest rates – and correspondingly higher financing costs. The risk of defaults, forced sales and ultimately price declines rises, especially if fixed-rate periods are commonly only short.

Real estate is bound to its location, so owners can be particularly hard hit by tax hikes. This applies especially at the local level, as local governments lack the ability to actively reduce the value of debt through inflation. Tax increases – either directly on property, as during the euro crisis in Greece, Italy and Spain, or indirectly via higher wealth taxes, as in Iceland – hold the real estate market back and can also put more pressure on prices.

Figure 5

Inflation reduces debt

Loan-to-value ratio of a property as a percentage of the purchase price; scenarios over ten years if property prices remain stable in real terms



Source: UBS

Box 2

The Swiss real estate market benefits from the moderate level of government debt

According to the IMF, Switzerland moved against the global trend between 2001 and 2024, with debt falling from 51% to 38% of GDP. Interest expense on debt currently represents 1% of tax revenue. The strict debt brake and political stability mean Switzerland is relatively well set to face future challenges. If Europe or the US move into financial repression, the Swiss real estate market will likely continue to enjoy lower interest rates. Nevertheless, given the aging population and rising health care costs, Switzerland too faces major challenges to its financial policy.

The leverage behind the real estate boom

Mortgages have made homes accessible for large parts of the population. A high degree of leverage is attractive for both households and banks. At the same time, though, this gives rise to dependencies and risks for the market and the financial system.

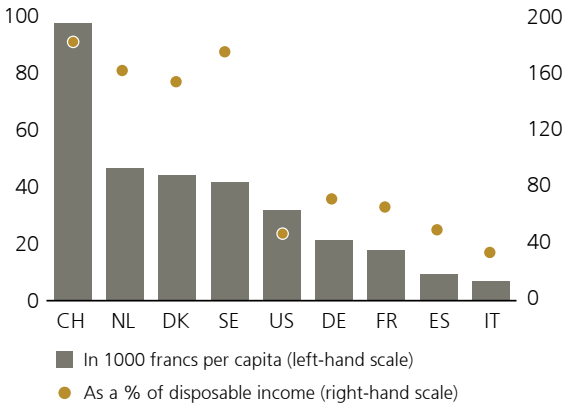
Fabian Waltert, Matthias Holzhey

Almost no other asset class has so much debt in it as the real estate market. Residential real estate alone accounts for around CHF 30 trillion of mortgages around the world – around one trillion of which is in Switzerland. The ratio of outstanding mortgage volume to disposable household income is about 180%, putting Swiss households in pole position in the leverage stakes. In the EU and the US, where interest rates are higher and loans amortized quicker, the ratio is only around 70% and 50%, respectively.

Figure 6

Switzerland: world leader in mortgages

Outstanding residential mortgages* per capita and as a percentage of disposable income, 2024



* Switzerland: All mortgage loans to individuals, regardless of the use of the mortgaged property.

Sources: Hypostat, SNB, FSO, Federal Reserve Bank, UBS

Debt is what drives the real estate market

Real estate borrowing is generally much cheaper than a consumer loan and can be taken out for long periods. Having a property pledged as collateral gives lenders a high degree of security; with investment properties, they can also use the income generated from an asset in the form of rent or lease payments to service the debt directly. From the borrower's perspective, there are essentially two reasons for using debt to buy a property:

Debt as enabler

For many households, a high degree of leverage is essential to be able to afford to buy a home in the first place. The average transaction price in Switzerland is currently ten times median income – so significant leverage is the norm. According to the Swiss National Bank (SNB), in the first half of 2025, the loan-to-value ratio (i.e., the ratio of borrowing to the market value of a home) was at least 70% for roughly half of all new mortgages.

Debt as leverage

Households can also deliberately use debt as a way of accumulating wealth. People often start climbing the property ladder by buying a cheap home, using the gain in value over a few years to trade up to a more expensive one. This is almost impossible without a mortgage – and only possible as long as the prices of cheap and more expensive properties move in line with each other.

Depending on the real estate cycle, it can make sense for both home buyers and investors to take on as much leverage as possible. Provided the total return (in rent or own use) plus the capital gain exceed the financing costs, it is worth using a lot of debt. In a booming property market with low interest rates, high leverage can increase the return on equity significantly. Conversely, using debt to invest in a weak property market when interest rates are high can rapidly result in losses.

Experience has shown that improved financing conditions stimulate strong additional demand for real estate and can drive prices up. This effect has been apparent in Switzerland in recent years. Between 2020 and 2022, using a leverage ratio of 66%, it was possible to generate average annual returns on equity of 14.6% – and in Germany as much as 17.4% – thanks to capital appreciation and low interest rates. The risks of using large amounts of debt became apparent in 2023 and 2024, however, as interest rates rose and property prices came under pressure; in Germany, using the same loan-to-value ratio gave a return on equity of -15.1% annually.

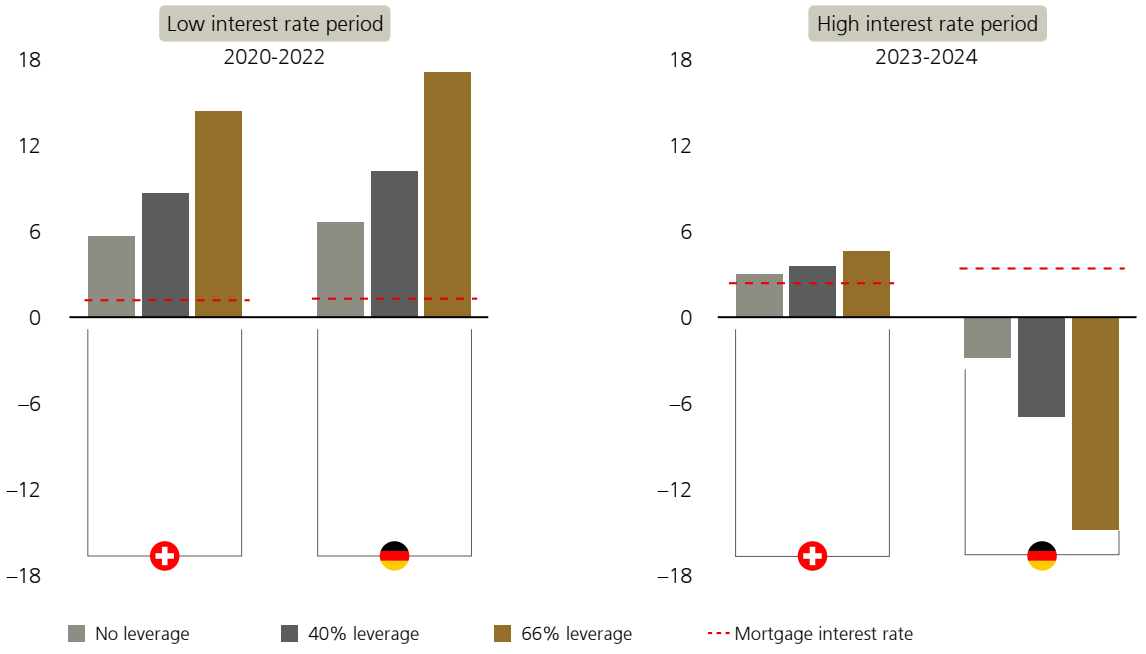
Lending paves the way for the real estate boom...
In the first decade of this century, the fall in interest rates and inflationary expectations in the periphery of the euro area and financial innovations in the US triggered a boom in lending and real estate. Better financing conditions enabled lower-income households to access the real estate market and subsequently enjoy large capital gains – driving demand up even more. The banks benefited from rising property prices and low default rates, in turn paving the way for increased mortgage lending.

Rising prices and loose credit also drew in large numbers of developers. The construction boom stimulated economic growth and reduced unemployment, further accentuating the trends in the real estate market.

Figure 7

Mortgage debt: leverage for better or worse

Annualized return on equity of a diversified real estate portfolio in 2020-2022 (low interest rates) and 2023-2024 (higher interest rates), with and without leverage



Note: Calculations are based on the assumption that the portfolio is financed with a ten-year mortgage at the market interest rate at the start of the period and held until the end of the period. Value growth is taken into account, but not taxes or currency fluctuations.

Sources: MSCI, SNB, Deutsche Bundesbank, UBS

...and triggers property and financial crises
A sharp rise in interest rates, a recession, tighter credit or a flood of speculative projects can quickly disrupt the fragile equilibrium in the market. House prices tumbled around 40% and 50%, respectively, in real terms between 2007 and 2013 in Spain and Ireland after the global financial crisis. Many property developers had to file for bankruptcy and several banks were only saved from collapse by government intervention.

The regulation of lending became much stricter in reaction to the financial crisis – first by tightening affordability rules and second by imposing higher capital requirements on banks. Both households and banks have an incentive to take high risks in real estate transactions: They speculate on capital gains and assume that in a worst case scenario they will not be called on to bear all the losses (this is known in the literature as "moral hazard" – see also Box 3).

No excess leverage in the Swiss mortgage market
In Switzerland, strict affordability rules prevent people taking on too much debt – even when prices are rising strongly and interest rates remain low. Leverage ratios have remained essentially stable for the past five years. The imminent end to the tax deductibility of debt interest following the abolition of the tax on imputed rental value will likely increase the incentive to amortize and contribute to a more moderate degree of leverage on residential property.

A further factor working in favor of stability is that residential investment properties are increasingly held by institutional investors such as pensions funds and insurance companies, which use more equity overall than private owners and are more conservatively funded. This increases market stability and limits the risk of overheating driven by credit. So even though it ranks as global number one when it comes to leverage, it considerably reduces the risk of a credit crisis in the Swiss real estate market in the foreseeable future.

Box 3

"Moral hazard" and regulation

The concept of moral hazard comes from traditional insurance theory. Nobel laureate Kenneth J. Arrow showed in 1963 that people with health insurance visit the doctor more frequently and claim more expensive treatment than those with no insurance. The basic principle is that the less responsibility you have for your own losses, the greater the incentive to take more risk. Applying this to the real estate market means buyers are more willing to borrow large amounts if they are not fully liable in the event of bankruptcy. Conversely, banks find it easier to lend large amounts if they can count on being rescued by the government in the event of a crisis. In Switzerland, both the affordability rules for home buyers and the Basel III banking regulations help to limit moral hazard.

Potential for returns away from the mainstream

Stiffer capital requirements are increasingly restricting bank lending – which is being particularly felt by highly leveraged property developers. This opens up the opportunity for private investors to access new sources of return by issuing private debt. Despite the growth, however, private debt remains a marginal segment.

Maciej Skoczek, Thomas Rieder

Private debt refers to loans made directly between private investors and borrowers outside traditional banking channels and not traded on public markets. Common investment strategies include direct company financing, loans secured on assets, loans to companies in difficulties and mezzanine loans (a hybrid form of debt and equity).

A growing niche

Private debt as an asset class has seen remarkable growth since the Basel III rules started to be implemented from 2013 onwards. According to analysts Prequin, global volumes invested in private debt have almost quintupled since 2010 to just under USD 1.7 trillion at the start of 2025. Despite this dynamic expansion, private debt remains a niche investment with a market share of around 1.2% of global assets under management. Roughly one-eighth of the current market volume relates to real estate financing.

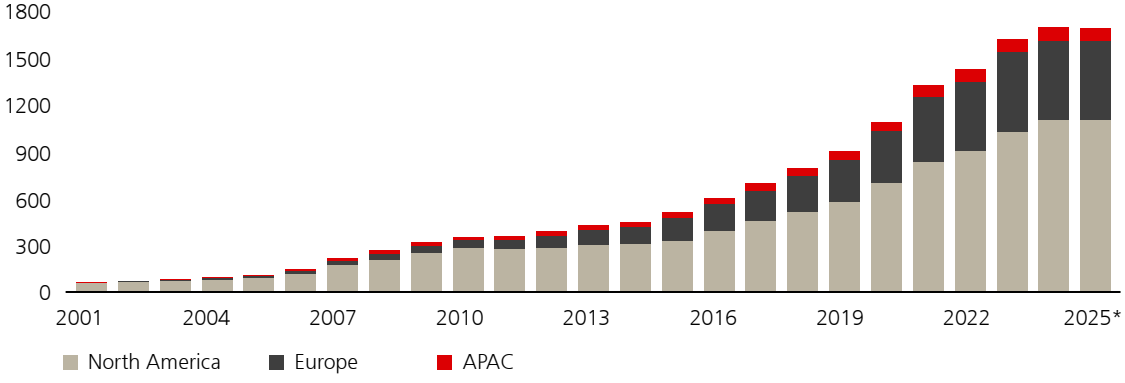
More risk means high return

According to investment company Franklin Templeton, investing in private debt in the US real estate sector over the last ten years generated an average annual return of 8.5%. This performance puts it well ahead of US real estate private equity funds (closed-end funds that invest in unlisted real estate projects: 4.7%), US REITs (listed real estate companies: 5.0%) and US Treasuries (1.0%). Private debt also offers a lower

Figure 8

Private debt on the growth path

Assets in private debt funds by region, in USD billion



* As at the first quarter of 2025
Sources: Preqin, UBS GWM CIO Alternatives, UBS.

volatility of returns than other asset classes. In addition, returns are only weakly correlated with traditional investments, partly due to the fact that private debt investments are generally valued at the book value of the underlying loan – regardless of short-term market movements.

Real estate private debt funds generate above-average returns by deliberately combining different (mostly short-term) types of financing – from relatively low-risk loans all the way to high-risk development projects. Private lending also makes it possible to negotiate individual conditions in exchange for higher coupons and exert targeted influence on collateral. Loans are usually secured on senior mortgages (with the highest seniority for repayment), and funds are able to use debt and leverage returns. Alternative strategies such as issuing mezzanine capital (a subordinated structure involving greater risk) can boost returns even further.

Extensive diligence and low transparency

Above-average returns involve increased risk. Private debt is structured for each individual situation, and hence essentially illiquid. Default risk cannot be underestimated, despite the collateral. Borrowers are often smaller companies below investment grade (i.e., classified by rating agencies as speculative or less than prime), such as developers unable to find financing through traditional channels. Even when loans have senior ranking, if the properties fall in value this can trigger losses – often undiscovered for a long time because assets are valued at book – resulting in sudden and significant write-downs.

Managing debt investments is also more demanding and expensive than with traditional asset classes. The low transparency and individual structure of loans require much more intensive diligence too, considerably increasing the expense for investors. In addition, it is not clear how much pressure returns would come under in the event of a recession, with rising defaults and capital losses.

Private debt in Switzerland

Mortgage lending for portfolio diversification

In Switzerland, most of the private debt market is related to mortgages issued by pension funds and insurance companies. The volume of these comes to just under CHF 70 billion, equivalent to around 5% of all mortgages outstanding. As a percentage of investors' total assets, their share is, in fact, lower than in 2010. These loans are not securitized; they are held directly on balance sheet for diversification purposes.

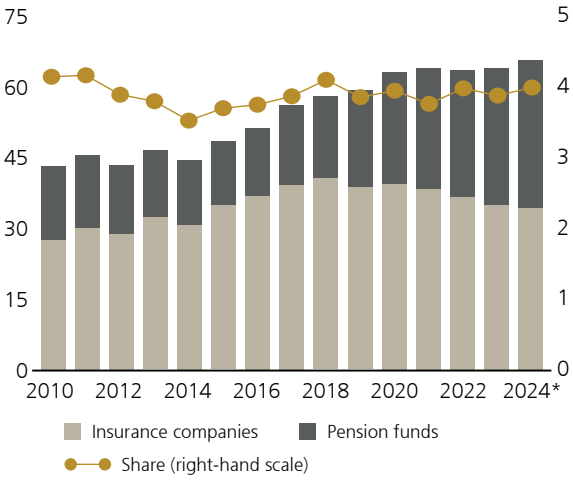
The yield pick-up over bonds in direct mortgage lending is generally small, especially in a favorable interest rate environment. There are almost no statistics available on returns, and differing maturities, liquidity and ratings mean only limited comparisons are possible. On average over the last ten years, the performance of investment foundations investing in mortgages – as a proxy for direct mortgage lending – has been around 0.75% annually. The more liquid bond market for issues rated AAA to A returned roughly 0.4% over the same period. In 2025, however, returns on bonds were substantially higher as interest rates declined.

Unlike real estate and bonds, mortgage portfolios normally generate a positive nominal return regardless of the interest rate environment and have a low correlation with other asset classes because they are measured at book. This allows them to contribute stability to a portfolio.

Figure 9

Institutional investors keep allocation to mortgages steady

Mortgages held by pension funds and insurance companies: volumes in CHF billions and as a percentage of assets



*UBS estimate for pension funds in 2024

Sources: FSO, FINMA, UBS

Investment foundations and covered bonds: more liquid alternatives

Even when interest rates are extremely low, for smaller and medium-sized pension funds, it is often not worth issuing mortgage loans directly; the high costs of putting the infrastructure required in place and maintaining it drag down returns too much. More liquid alternatives such as mortgage investment foundations and covered bonds allow considerably easier and more flexible access to the Swiss mortgage market. Covered bonds are very liquid fixed-income securities backed by mortgage collateral; they are traded on the stock exchange and so not considered to be private debt.

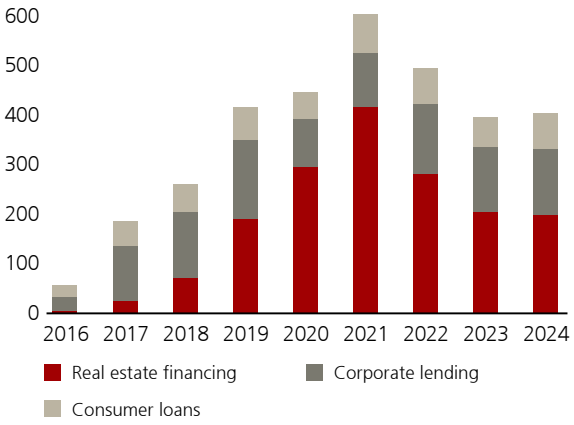
Few options for private investors

The vast majority of domestic private debt funds in Switzerland are only available to qualified investors, and the range is very limited by international standards. A study by Lucerne University of Applied Sciences and Arts (HSLU)[3] in 2019 put the size of the Swiss private debt market for consumer and corporate loans at just under CHF 3 billion. Given the global growth seen in private debt investments, the market has likely now risen to roughly CHF 6 billion – equivalent to less than 0.5% of all bank lending. There are only a few other funds investing in Swiss real estate financing.

Figure 10

Volumes invested via crowdlending platforms are low

Crowdlending volumes in Switzerland in CHF million



Sources: Crowdfunding Monitor Schweiz 2025, UBS

Crowdfunding platforms are one of the few ways private investors can put money directly into lending. The low minimum investment amounts suggest these offerings are primarily targeting small investors. HSLU[4] has estimated that the annual volume of investment in crowdfunding in 2024 was about CHF 400 million, around half of which went into real estate projects. More recently, the market has been consolidating, with credit volumes falling and the number of platforms shrinking since 2021.

Growth with constraints

The conditions for further growth in private debt investments in Switzerland are essentially already in place. First, since 2022, a new regulation has allowed institutional investors to put money into domestic private debt vehicles operating in Switzerland. Second, in the current environment of low interest rates, real estate developments can offer attractive return opportunities, with private debt an attractive alternative to bonds. Third, since 2025, banking regulation has been tightened in the more risky segments of the market, causing a relative shortage of credit through traditional channels. Borrowers are therefore increasingly shifting to the private market to obtain short-term financing.

Nevertheless, private debt will likely remain a niche asset class in Switzerland. Direct lending is restricted to the largest institutional investors on costs grounds. Also, investing in private debt funds or crowdlending platforms requires a healthy risk appetite. Private real estate debt in Switzerland is frequently subordinated, so lenders enjoy less capital protection. The potential amounts pension funds can invest in such vehicles are also capped by regulation at a maximum of 5% of total assets. In addition, investing in foreign private debt funds that have no operations in Switzerland is not permitted.

3 Birrer, Thomas K., Bauer, Manuel and Amrein, Simon (2019): Unternehmensfinanzierung mit Private Debt in der Schweiz [Corporate financing with private debt in Switzerland]. Lucerne School of Business.

4 Dietrich, Andreas and Amrein, Simon (2025): Crowdfunding Monitor Schweiz [Crowdfunding Monitor Switzerland]. Lucerne School of Business.

Residential



Getty images

No peak in sight

The market for owner-occupied homes is facing further price rises. Low interest rates, asset transfers as part of inheritance and gifts, and investment plans are all contributing to sustained high demand. However, the affordability issue is such that interest is increasingly shifting toward smaller properties in low-cost regions.

Thomas Rieder, Matthias Holzhey

Prices for owner-occupied homes in Switzerland are still only going in one direction: up. The rise in 2025 was 4.1%. This was an acceleration from the trend seen over the previous two years, but still below the level of 2021 and 2022. Growth was especially strong in condominiums, where prices were up 4.8%. The increase for single-family homes was 3.4%.

Sustained demand for residential property

Demand for homes remains high, despite rising prices. The number of open search registrations was up once more, although the increase in interested buyers was considerably less than the previous year. This sustained high demand can be put down to a combination of six factors:

1. Financing costs are so low that running costs for an owner-occupied property (mortgage interest, maintenance costs, provisions for future renovations, tax and opportunity costs) are a relatively moderate burden on buyers' household budgets. An average first-time buyer household has to spend less than 20% of gross income to live in their home.

2. The rent for a comparable apartment is higher than these running costs, at 24% on average. This ownership discount widened further last year.

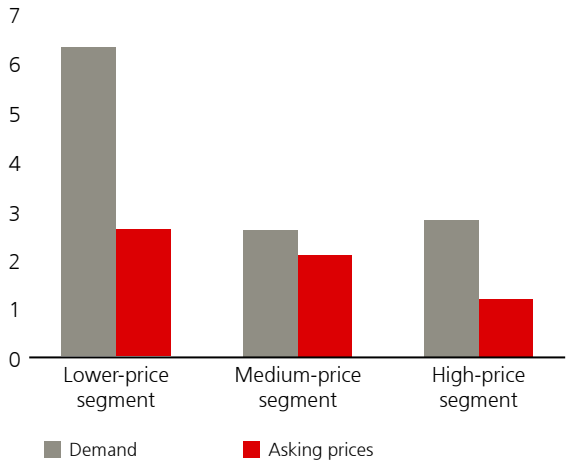
3. The tight supply of rental apartments makes owning property more attractive. For many households it has become harder to find a comparable apartment in the usual area when moving. Ownership also offers greater planning security overall, as tenants have to live with a degree of uncertainty when circumstances change (the landlord may want to use the apartment themselves or plan a total renovation) and are less able to plan for the long term. This can be a drawback for some groups, such as families with children.

4. Owner-occupation has also proven an attractive form of investment, even when interest rates are higher, achieving an average return on equity of about 10% over the last 15 years. So it still remains one of the preferred ways to invest and accumulate capital. The desire to invest is a key driver, as is also apparent in the persistent demand for buy-to-let apartments.

Figure 11

Surge in demand for cheap residential property

Growth in the demand index in 2025 (based on search registrations for owner-occupied homes) and asking prices from 3Q24 to 3Q25, by price segment, in percent



Sources: Realmatch360, Wüest Partner, UBS

5. Swiss homes are not just an attractive investment for the locals, but increasingly for foreign investors too. This is reflected in the high demand for holiday homes and luxury properties, sometimes accompanied by permanent relocation to Switzerland.

6. The high and rising number of inheritances and gifts is supporting the already strong purchasing power among people over 50. This is boosting demand for second homes and buy-to-let investments in particular.

Put up with limited living space...
An in-depth analysis of demand indicators shows that interest in owner-occupied homes in the lower price segment rose considerably more sharply in 2025 than it did in the middle and upper segments. The trend in asking prices by price segment confirms this picture. One major reason behind this is that prices are now very high, and incomes have not kept up with the increase in prices. Over the last 15 years, house prices rose 3.2% per year on average; over the same period, household incomes were up just 1%. Prices went up more than incomes every year apart from 2017.

This widening gap between house prices and incomes means ever fewer households meet the mortgage affordability criteria to qualify as potential home buyers. In many cases, people have to put up with limitations to get past the high barrier to financing. This is likely one reason why the average size of a new-build rental apartment has come down from 125 square meters to 100 square meters since the turn of the millennium.

...or move out to a cheaper region
As well as reducing living space, many households are also considering moving to a cheaper area. For all municipalities in Switzerland, we analyzed how many square meters of an owner-occupied home a household with the local median income (an average-income household) can afford at present under the calculation guidelines.

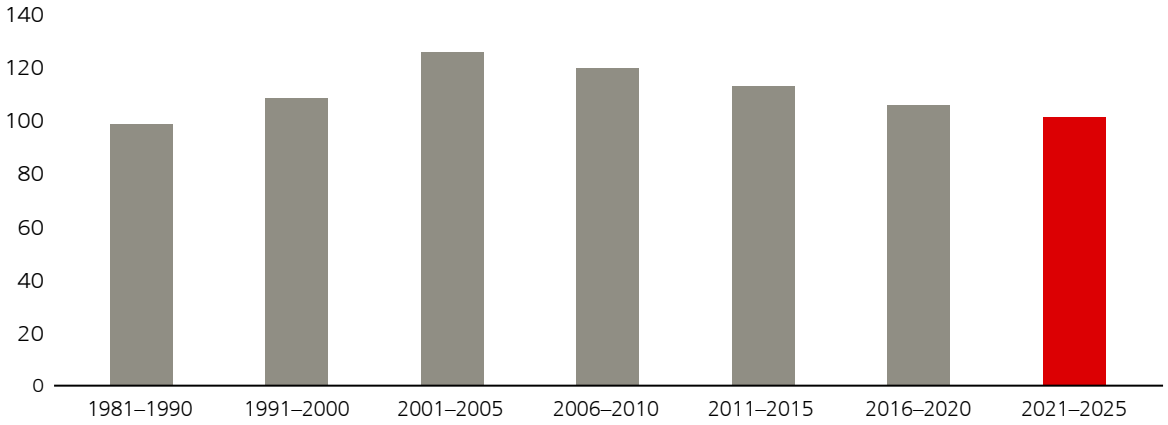
A high-quality condominium (in the 70th percentile by price) of 100 square meters can only be financed by that household in 17% of all municipalities—but these make up just 7% of the population. They are mainly rural and peripheral municipalities. Opting for an average property on offer (the 50th percentile by price) with a lower standard of fitting or compromising on the condition or micro-location increases the proportion of affordable municipalities to 34%.

High prices mean many households can only buy their own home by moving somewhere cheaper. In the last ten years, buyer interest around Zurich, Geneva, and Lausanne has increasingly shifted towards the extended agglomerations. Good transport connections and the rise of working from home mean many households can now put up with longer journeys into work.

Figure 12

Condominiums are getting smaller

Average size of condominium by year of construction,* in square meters



* Based on transaction data between 2000 and 2025.
Sources: SRED, UBS

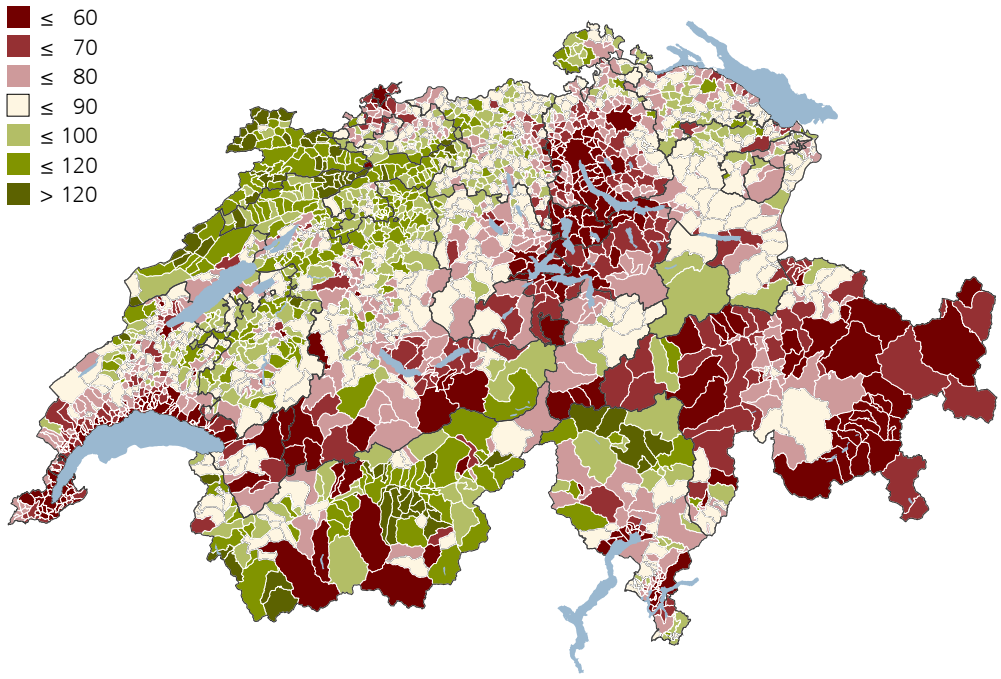
Little new construction activity in many places
The supply side remains weak. New construction activity is sluggish and unlikely to change in the immediate future. In 2025, just 5,100 single-family homes and 11,200 condominiums were approved—fewer than half the number 20 years ago. Measured against the existing housing stock, in German-speaking Switzerland, only the cantons of Thurgau, Schwyz, and parts of Aargau can expect the number of homes to grow by more than 1%; in the French-speaking part of the country, only in Freiburg and parts of Vaud and Valais. We anticipate the lowest level of new construction activity in the cantons of Appenzell Ausserrhoden, Basel-Stadt, Graubünden, Glarus, Jura, and Obwalden.

In percentage terms, more rental apartments than owner-occupied homes have been approved in Switzerland since 2015. No change in this trend is in sight, given the low interest rates and associated pressure on institutional investors to put money to work. This applies to the great majority of cities and across almost the whole of central Switzerland and the Canton of Zurich. The big exceptions are the cantons of Vaud and Valais, where considerably more owner-occupied homes than rental apartments are being built.

Figure 13

Affordability limiting the living space that can be financed in central locations

Affordable* space for high-quality condominiums (70th percentile by asking price), in square meters, 3Q25



* According to the affordability rules for a household with local median income and an 80% leverage ratio.
Sources: FTA, Wüest Partner, UBS

Price rises set to slow

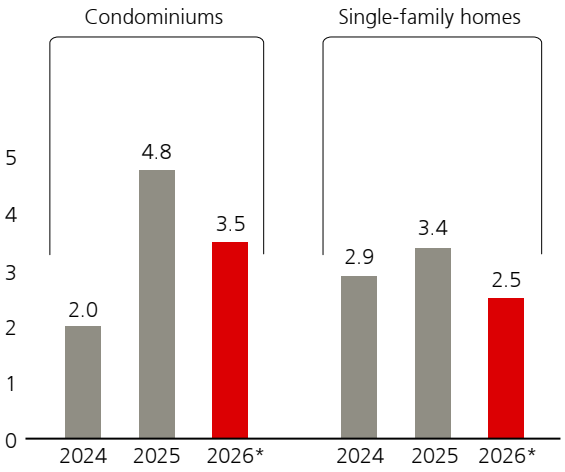
Below-average economic growth in Switzerland and a stuttering labor market should dampen any euphoria in 2026. Rising uncertainty in the labor market has a negative overall effect on house prices.

Even so, these are likely to rise further. Mortgage rates will probably stay low all year, making owner-occupied homes attractive from a financial perspective. The upcoming abolition of imputed rental value is also supporting demand. We expect the trend to be weaker in 2026, however, with prices rising 3.5% for condominiums and 2.5% for single-family homes.

Figure 14

Price rises continue

Year-on-year price changes, in %



* UBS forecast
Sources: FPRE, IAZI, Wüest Partner, UBS

Box 4

Abolition of imputed rental value supporting demand

The abolition of imputed rental value means a significant portion of home owners will pay noticeably less tax at the current level of interest rates. This will raise the cost advantage over rental apartments by an average of around 4 percentage points and should provide further support for people's willingness to pay up for a home over the coming quarters.

The lower tax bill could boost the value of property by 2-3%. If interest rates go up, though, these price gains would be put into context. New condominiums will likely see disproportionate price rises, while old ones can expect a more modest performance, as maintenance costs will no longer be tax deductible. The discount for old properties needing renovation compared to new ones should widen by about 5 percentage points on average.

Renovation boom driving rents

The market for rental apartments is again being influenced by low interest rates. Purchase prices for multi-family homes are shooting up and capital is increasingly flowing into renovations of existing properties. There is a risk of oversupply of highly priced rental apartments, with shortages persisting in the cheaper segments. High regulatory burdens and construction costs are holding back a potential boom in building.

Matthias Holzhey, Fabian Waltert

The investment crisis is back. It will probably be difficult to earn a positive return on low-risk Swiss bonds in the years ahead. As a consequence, investor interest is increasingly coming back to the housing market. Transaction prices for existing multi-family homes gained around 6% in 2025 after two years of weakness.

No boom in construction expected, despite the low interest rates

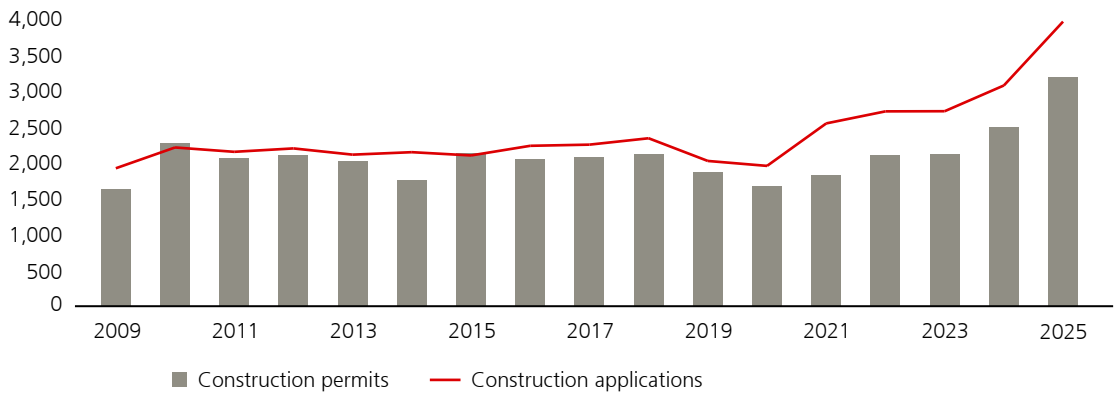
Low interest rates are also guiding more capital into new-build apartments. The number of new-build rental apartments issued with construction permits rose 9% in 2024 and almost 10% in 2025. A slight pickup in residential construction activity is therefore likely to become a reality. We expect a rise in completed apartments of just under 2,000 units in 2026.

But this is a drop in the ocean. Only a few regions are likely to see any noticeable easing in the apartment market. More than half the growth in new rental apartments relates to three cantons: Aargau, Geneva, and St. Gallen. At the same time, construction activity in cantons suffering from a shortage of apartments, like Zurich, Zug, and Graubünden, is holding steady or even declining.

Figure 15

Investment in redevelopment doubles within five years

Planned investment in conversions and extensions* to multi-family homes, in CHF million



* Based on construction applications submitted and permits granted. All construction works (renovations, conversions, and extensions) requiring a permit included Mixed projects including some new-build not included.

Sources: Infopro Digital, UBS

Renovation beats new-build

Nor is a new construction boom in sight in the medium term either. Based on building applications, the number of rental apartments on the drawing board fell again last year. The current high level of economic uncertainty probably had a lot to do with this. Also, the stricter capital adequacy requirement under Basel III came into force on 1 January 2025 with the revised Capital Adequacy Ordinance; banks are now required to provide more capital backing for riskier lending, such as new-build projects and investment properties with a high leverage ratio. These loans are becoming more expensive, and it is getting harder to access cheap construction loans. The revision to noise abatement legislation approved by parliament and the easing of the requirements to preserve urban character (direct applications of the Inventory of Heritage Sites) planned by the Federal Council are unlikely to have any positive impact on the number of completed apartments until 2028 at the earliest.

New-build multi-family homes are only seeing a muted recovery, but conversions and renovations are enjoying an absolute boom. In 2025, the volume of conversion and extension projects given construction permits stood at CHF 3.1 billion; the volume of projects submitted was CHF 3.9 billion. This means planned conversion and renovation activity has almost doubled within just five years.

Renovation boom creating a surplus of expensive apartments

In city centers, where redevelopment has a particularly large impact, many apartments are positioned in the high-rent segment after renovation work, driving up asking rents even further. Many regions now have more expensive apartments than interested tenants, as potential demand in the upper price segment is limited.

Weakening growth in employment—including in high-pay industries—is further hitting demand. Low financing costs are also increasingly steering demand from top earners toward ownership. The result is pressure on peak rents in major cities and limited potential for further rent increases.

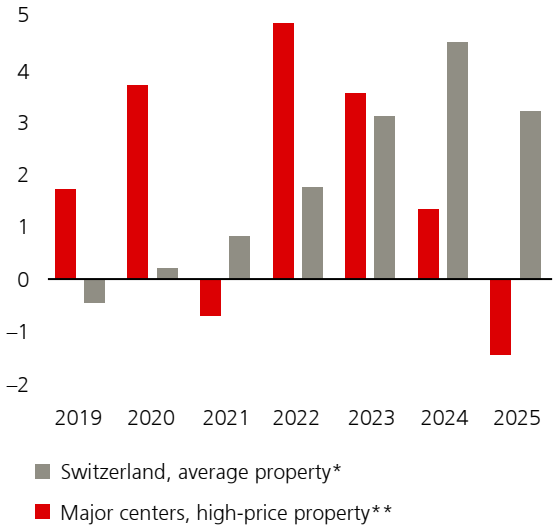
Cheap living space increasingly rare

Putting top sites to one side, the excess supply in the market for rental apartments continues to dominate events. Since 2019, asking rents in the average municipality have risen roughly 15%, while household incomes are up just 6% across the country. This has a noticeable effect on affordability: On average, in the ten largest cities, a median household can afford less than 70 square meters of living space. The average for Switzerland as a whole is 80-90 square meters.

Figure 16

Pressure on rents in the top price segment

Year-on-year change in asking rent in the second quarter, smoothed, in percent



* Rent in the 50th percentile of apartments advertised
** Rent in the 90th percentile of apartments advertised
Sources: Wüest Partner, UBS

At the same time, the supply available is falling. The quarterly average number of rental apartments advertised in 2025 was roughly 104,000—another record low. Back in 2019, the number was over 160,000 apartments per quarter. Tightening supply mainly affects cheaper rental apartments; the number of properties with an annual asking rent under CHF 200 per square meter has more than halved since 2019. Where rents are over CHF 350 per square meter, by contrast, there has been an increase.

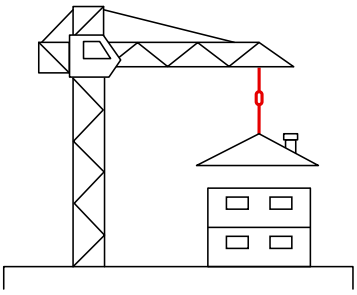
High construction costs pushing up housing costs
Strongly rising rents and falling affordability in recent years not only reflect increased demand, but are also a consequence of higher construction costs. In 2019, expected construction costs for an average apartment in a multi-family home were CHF 420,000. In 2025, developers could expect to pay CHF 490,000 (+16%).

Allowing for all the regulations that drive up costs, the break-even monthly net rent for a new-build (ignoring land value) is at least CHF 2,000 for a 100-square meter apartment. In urban locations where land values are high, break-even rents quickly rise to over CHF 3,500 per month or more than CHF 400 per square meter per year. This is a clear sign that no sustained fall in rents can be expected, even if supply increases.

Figure 17

Sharp rise in construction costs

Expected average new-build cost per apartment in a multi-family home, in CHF



2019
420,000

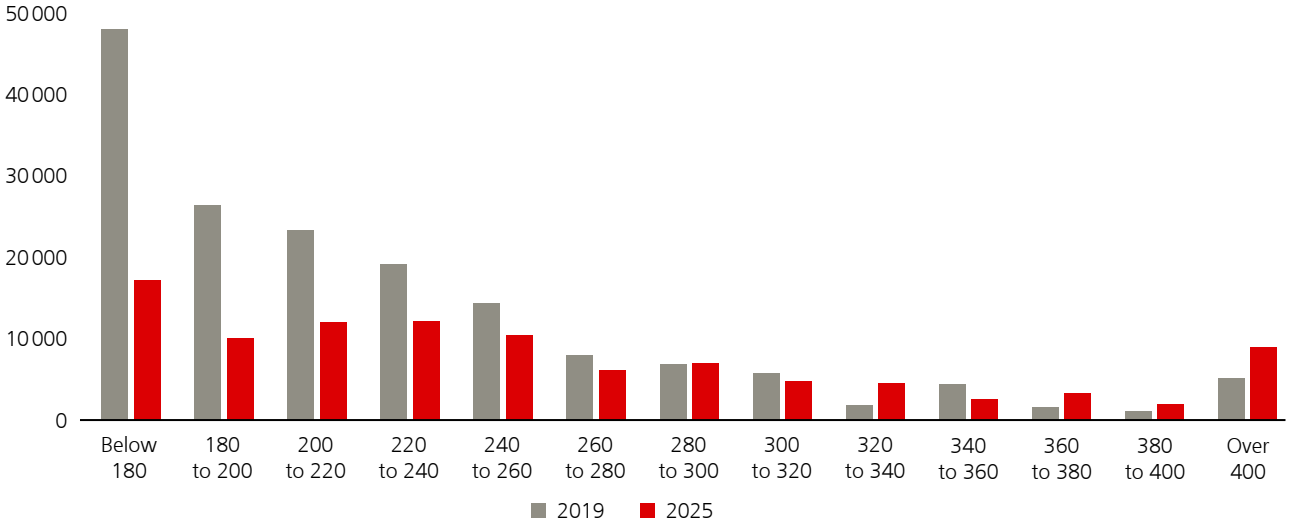
2025
490,000

Sources: Infopro Digital, UBS

Figure 18

Supply of cheap rental apartments has collapsed

Number of rental apartments advertised, by rent by square meter per year



Explanatory example: In 2019, just under 27,000 advertisements were placed at between CHF 180 and 200 per square meter. In 2025, the figure was fewer than 10,000.
Sources: Wüest Partner, UBS

Rent rises expected to slow

Demand for residential real estate investments looks set to remain strong in 2026, pushing up purchase prices in the transaction market by around 3%, according to our forecast. The excess demand from potential tenants is ebbing though: We expect immigration to decline once again in 2026, with the demand for labor weak. Vacancies should decline by only a minimal amount this year; to around 1.35%, in our view.

Given the two cuts in reference interest rates last year, we believe rental growth across all tenancies will likely slow to around 1%. Asking rents are expected to see slightly stronger growth at roughly 2%. One of the consequences of the sustained boom in renovations is that large numbers of expensive apartments are continuing to come to market; but in view of the low financing costs, investors will have no problem putting up temporary vacancies in this segment.

Box 5

Renovations attractive—subject to conditions

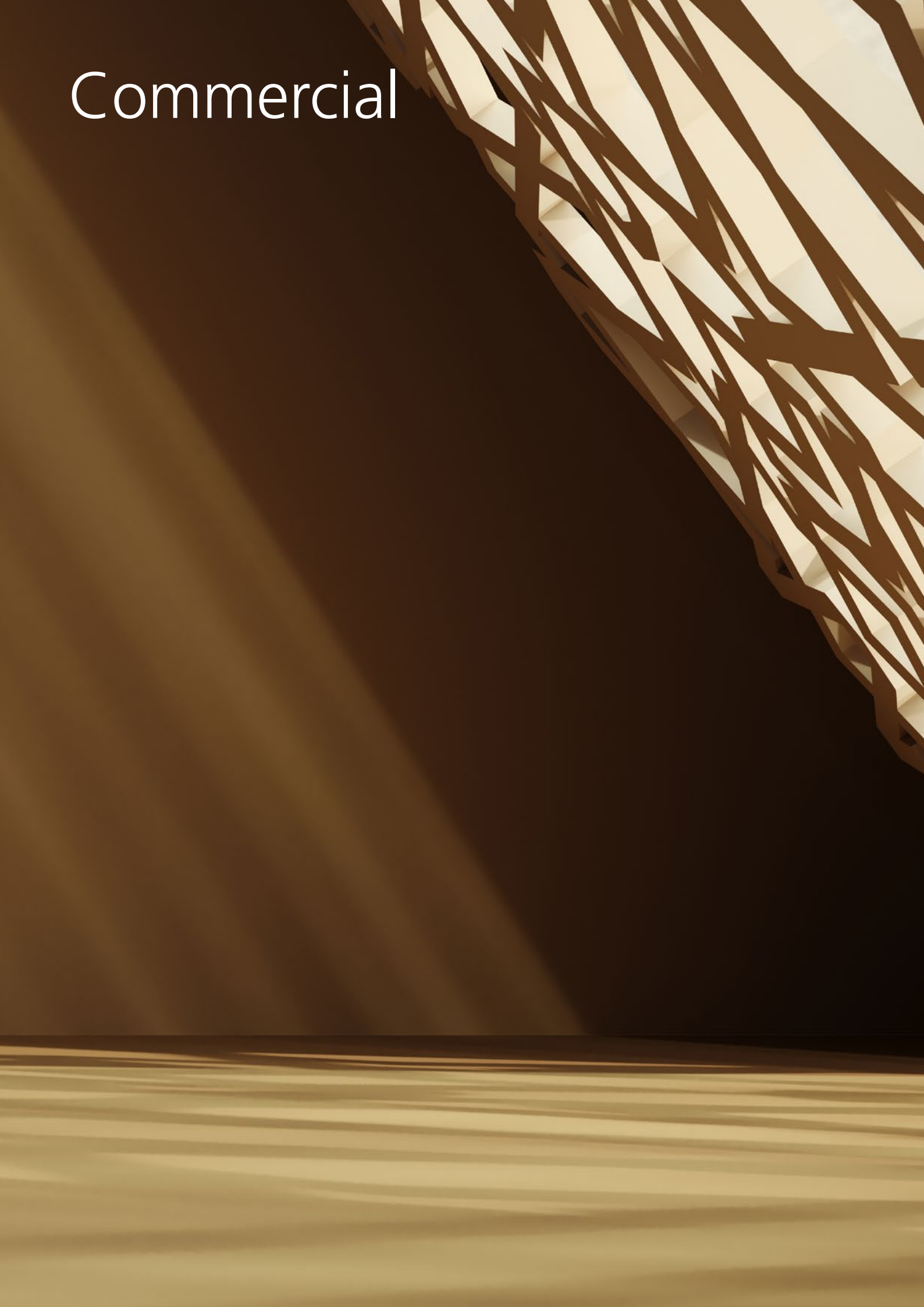
As the end of a property's lifecycle comes into view, renovation becomes inevitable. This comes at a high cost, though. In some instances, mid-six-digit sums per apartment have to be invested to restore an aging multi-family home to as-new condition.

In urban locations in particular though, renovation is often not just an essential lump-sum cost—it can also be a financially attractive investment. If a renovation is to be economically justifiable, it must be possible to increase either the lettable area or the rent per square meter by at least 30%. In cases like this, it is worth investing in one's own portfolio and bringing forward renovations planned for the future.

Even more important, though, is the fact that institutional investors are increasingly being assessed on their sustainability efforts and large amounts of newly raised capital are facing a transaction market that has dried up. Hence investments in existing properties will rise, and pure return considerations recede into the background.

In the Canton of Zurich, a residents' protection initiative is also noticeably unsettling investors and pushing up renovation activity. If this initiative is approved by voters in the referendum in June 2026, renovations would become economically unattractive, and there would likely be an increase in the conversion of rental apartments into condominiums.

Commercial



Under the microscope

The Swiss office space market has proven resilient recently, despite a weak economy and optimizations of space. Institutional investors have managed to keep rental defaults stable overall and even bring them down in central locations. Weakening demand for space will likely result in rising vacancies this year.

Matthias Holzhey, Thomas Rieder

The Swiss office market is in a unique position by international standards: Around the world, vacancies in office space are rising and stand at about 17% – more than twice the level in Switzerland, where it is roughly 8%. Strong growth in employment in recent years has made up for at least some of the negative impact on demand from the spread of working from home.

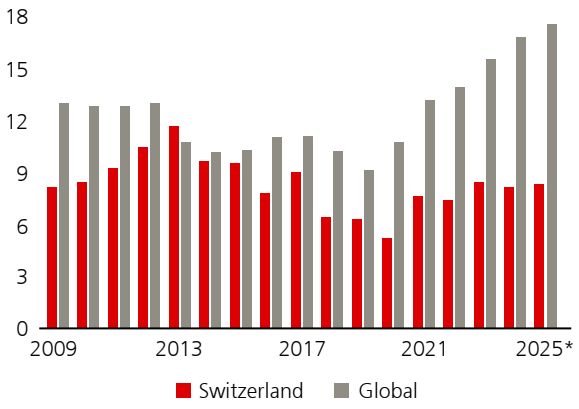
Growth in employment slumps

Growth in office employment has weakened considerably in the past few quarters. In 2025, the number of office employees (in full-time equivalents) declined 0.2% year on year – the first fall since 2016. The city of Zurich – the biggest office market in Switzerland – reported a 0.8% reduction in the number of employees in the service sector in 2025. All over the country, most traditional office-based sectors are seeing declining employment.

Figure 19

Swiss office market solid as a rock

Vacancy rate for office investment properties, in percent



* Swiss vacancies as estimated by UBS

Sources: MSCI, UBS

The biggest reduction has come in IT / communication and banking. New office jobs have mainly been created in the public administration as well as in the health and social sectors.

To date, the collapse in demand in recent quarters has left little trace in the key indicators for the office market. The percentage of space available to let has risen but remains at the ten-year average overall. In the 50 largest municipalities, the supply ratio was a modest 5.7% in the third quarter of 2025, according to Wüest Partner. In large and medium-sized centers, it was actually one percentage point lower than that. The remaining municipalities had an average of 8.5% of their office space available to let.

Top locations are the winners

In recent years, the office market has seen particularly strong demand for modern space in central locations. In the last three years, top rents have risen more than 10% in total and now stand at about CHF 1,000 per square meter per year in Zurich and Geneva. This is in strong contrast to the broader office market, where asking rents stagnated over the same period despite a higher standard of fitting out.

The persistent uncertainty over long-term demand for space has led to a flight to quality in the past few years, keeping demand for prestigious, high-quality and central buildings high. City center locations have also benefited from growing demand from flexible office providers. In Zurich, these players rented an additional 50,000 square meters or so of space between 2019 and 2024, roughly equivalent to 10% of the new office supply in the city as a whole.

Diminishing growth in space
What appears to be additional demand in central locations is actually a reflection of falling demand for space per employee. The solid performance of the market overall in recent years is therefore only partly due to rising employment. The limited increase in supply, which prevented any major rise in available office space, was at least as important.

In the current market environment, investors are continuing to be cautious about new office projects. The volume of new building that received a construction permit in the last three years was 21% below the average seen over the past 15 years. Construction costs are up 19% in the last five years, so the actual growth in the space was even less. There have been few signs of this changing recently; the volume of investment approved in the past 12 months is not significantly above the level of construction activity seen in the last three years.

Moderate risk of vacancies in large centers
The decline in the growth of space is mainly concentrated in the major office markets, where investors are launching fewer large projects. In medium and smaller centers, on the other hand, where new space is more frequently built for own use or as part of mixed-use commercial sites, the planned volume of investments has actually risen in the last three years.

This suggests there will be no structural increase in vacancies in large centers. They look set to remain the most important engine of employment growth in Switzerland; office employment in large centers rose 14% between 2013 and 2023 – almost double the 8% seen in mid-sized centers. The situation remains more challenging in municipalities within agglomerations around large centers. Here, office employment grew just as strongly between 2018 and 2023 as in the centers, but in many areas, the increase in office space was also significant. As a result, supply on the outskirts of large office markets is often higher than in the centers, making marketing these spaces more challenging.

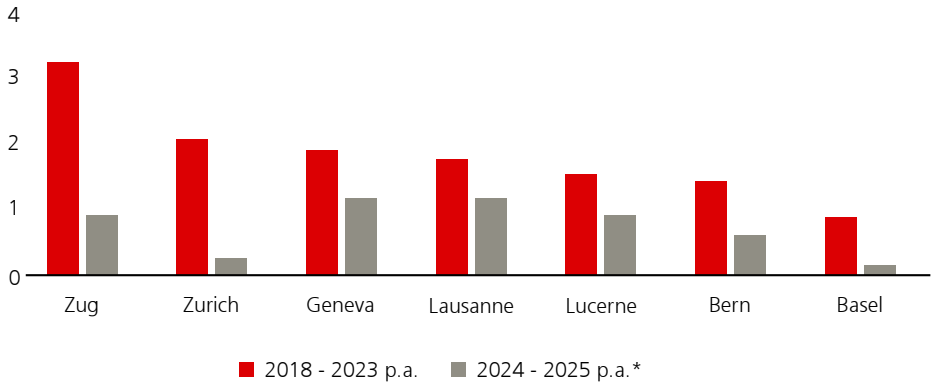
Deteriorating market environment
Changing the use of vacant office space is also helping provide relief to the market in some places. In Basel in 2024, for example, change of use created 280 new apartments, reducing the vacancy rate in the local office market by an estimated 10%. However, the regulatory and construction obstacles to such changes of use mean they remain the exception. Many offices that are hard to market are not suitable for residential use because of their location or zoning. Nevertheless, initiatives of this kind will likely become increasingly important in regions where structural office vacancies go hand in hand with a shortage of apartments.

Total demand for office space is set to decline in 2026. Estimates suggest employment will be weak at 0.5% to the end of the year and generate scarcely any extra demand for space, as it is mainly coming from the health care sector. Demand is also unlikely to grow much in industry, where employment is set to stagnate as well.

Figure 20

Decline in employment growth across all regions

Change in office employment (in full-time equivalents) in the seven largest office market regions, in percent



* Employment data at municipal level not yet available for this period. Therefore employment growth here refers to the change in employment in the services sector of the larger region the center belongs to.

Sources: FSO, UBS

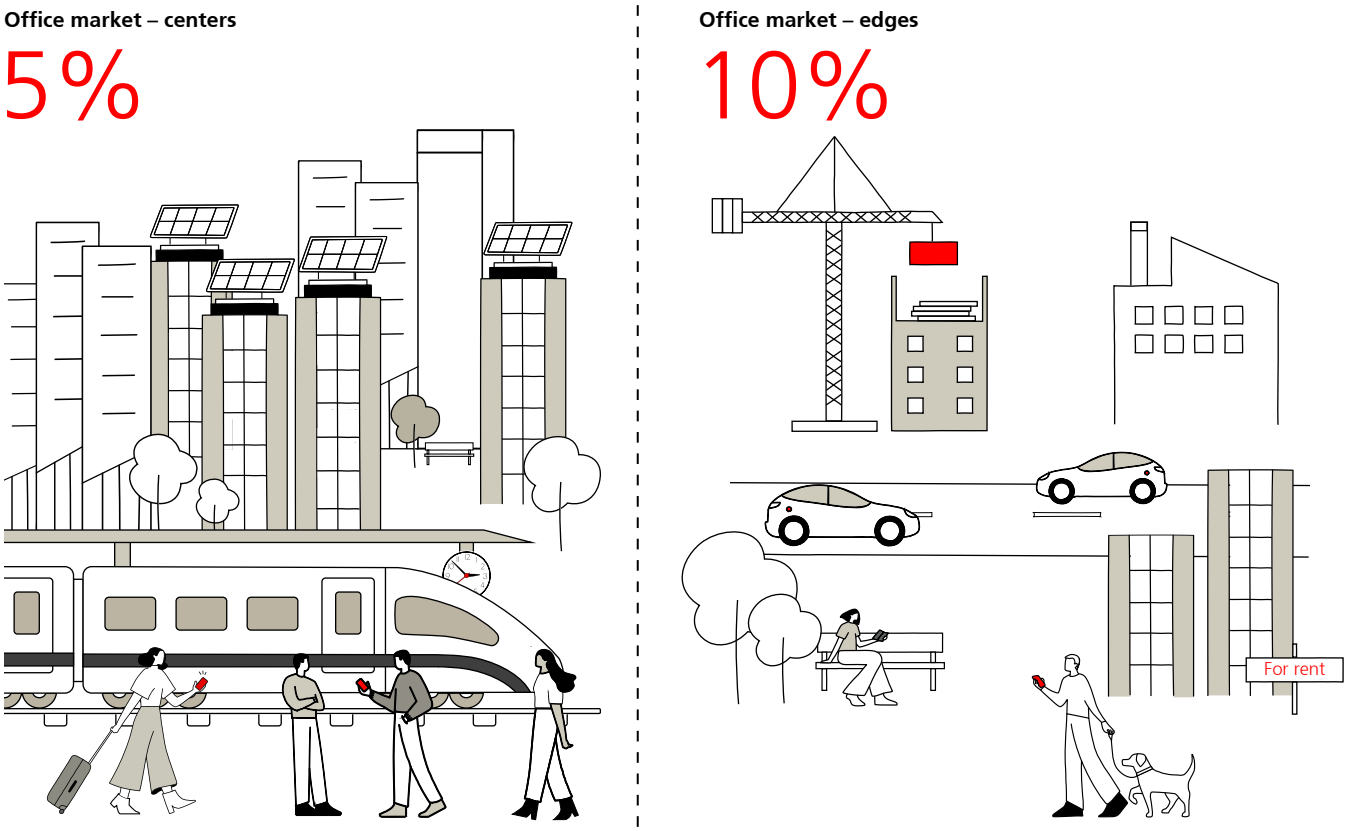
Poor locations under pressure
The pipeline of projects has shrunk considerably in most centers, but vacancies can still be expected to rise further in the years ahead. The supply ratio is currently estimated to be 5.5% and will likely climb to 6.0% by the end of 2026. Office buildings with poor transport connections in districts seeing little demand will likely be hit particularly hard. Tenants prefer modern offices with good transport connections that offer sustainability certification. Properties of this kind are holding up much better than others in the transaction market.

The current market environment offers no scope for rent increases. We believe the rise in top rents has come to a halt for the time being and asking rents in the broader market are set to weaken slightly. In the transaction market, rising risks of renting are causing higher risk premiums. Net initial yields are therefore likely to rise slightly, even though interest rates are set to stay low. At the portfolio level, total returns on office investments remain around the level of initial yields at about 3.5%, in our view.

Figure 21

Marketing situation strongly driven by location

Average supply ratio in office market centers (top 10) and on the edges of office markets (municipalities in agglomerations), 2025



Sources: Wüest Partner, UBS

Box 6

AI: balancing opportunities and risks

The impact artificial intelligence (AI) will have on the labor market is driving the debate around long-term demand for office space. In the short term, the effects are manageable, but in the longer term, AI ranks as one of the biggest risks for investors in the office sector.

Risks

First, AI is tying up substantial resources at the company level and causing uncertainty over the future need for staff. Firms are therefore being more cautious when it comes to hiring, reducing demand for large units and the average term of leases.

Second, AI is increasingly taking over routine office tasks. This creates productivity gains, but will likely be accompanied by a decline in the jobs affected.

Third, recent years have shown that much office work can be carried out anywhere, without a loss of productivity. Taken together with increasingly effective AI systems, this is driving a shift in work processes to low-wage countries – threatening jobs in high-wage locations like Switzerland.

Opportunities

First, Switzerland has an outstanding technology cluster and is one of the most competitive locations for international technology companies setting up in Europe. The AI boom may create more highly productive jobs, increasing demand for prime office space.

Second, the falling marginal cost of many routine tasks due to AI is boosting demand for staff in higher-level and more complex activities, again supporting demand for office space.

Third, rising productivity may stimulate demand for labor in the economy as a whole. However, the activities that will be in greater demand will likely be more heavily focused on human interactions and require less space.

Conclusion

All in all, the risk factors are likely to act as a noticeable drag on the labor market. However, the negative impact on demand for office space could be partly outweighed by positive effects. These positive factors involve great uncertainty and are only likely to have an impact in the medium and long term. In the short to medium term, AI will likely dampen demand for office space in Switzerland and increase the pressure on the market to transform itself.

Persistent pressure

Swiss retailers are facing ongoing challenges. Top locations are still stable, but the broader market is being affected by stagnation, structural oversupply and pressure on margins. The future demands flexibility – from both retailers and landlords.

Claudio Saputelli, Maciej Skoczek

Asking rents for retail space in Switzerland have been effectively treading water for 15 years; rents for apartments, offices and industrial space have seen considerable growth in some cases, but in retail, they have gone nowhere – in fact, adjusted for inflation, they are down almost 5%. This puts retail at the back of the pack among the traditional classes of use.

Numerous causes of weakness

There are a variety of reasons for this performance. The 2000s saw much new space built; the number of shopping malls alone more than doubled to almost 60 between 2001 and 2010. Simultaneously, online retailing has tripled in the past 15 years, sharply reducing the space needed by many retailers. Meanwhile, brick and mortar retailers have been under considerable margin pressure for years. High wage costs, the strong Swiss franc and international competition are also hurting the sector. A study from the University of St. Gallen[5] shows that in 2025, Swiss retailers lost more than CHF 9 billion to foreign providers – this is estimated to be more than three times the figure in 2010 and equivalent to just under 9% of total sales.

Rents are a central block of costs, so there is almost no scope for increases – retailers resist vigorously. Branch networks are being pruned, stores downsized or closed altogether. Between 2011 and 2023, the number of retail stores declined by more than 3,500 (about 7%). The structural oversupply remains, even though construction activity has been low.

Food bucking the trend

The developments of the past few years have not hit all segments equally. Store closures have been solely in non-food. Between 2011 and 2023, roughly 4,700 more non-food stores were closed than opened (13% of the total). Recent years have been particularly hard for large and medium-sized centers, and clothing, shoe and newspaper stores.

Figure 22

Retail rents falling in real terms

Change in asking rents between 2010 and 2025 by type of use and inflation, cumulative in percent*



* Calculated based on average rent and consumer prices for 2010 and 2025

Sources: Wüest Partner, FSO, UBS

5 Rudolph, T., Kralle, N., Gerlach, T.-F. (2025), Einkaufstourismus Schweiz 2025 [Shopping Tourism Switzerland 2025], University of St. Gallen, Institute of Retail Management

Food retailing, by contrast, has proven robust. The number of food shops rose by more than 400 units over the same time frame – a gain of 3%. The discounters – Aldi, Lidl, and Denner, for example – have expanded by 35% since 2010, while Migros and Coop have grown by just under 20%. This trend has been driven by the low level of online penetration (3%, compared to 19% in non-food), the close link with population growth and productivity gains, e.g., from self-checkouts and less need for assistance in general.

Continued market weakness

The structural problems in retailing look set to continue in the years ahead. Sales should rise this year, but growth will mainly be concentrated in online sales and partly benefit foreign providers. Digital export confirmations from 2026 should speed up refunds of German VAT, further increasing the incentive to shop abroad.

More frequent changes of tenant, higher marketing costs and the risk of vacancies will likely continue to shape the market in the coming quarters. For the current year, we anticipate an average decline in retail rents of about 2%.

More income courtesy of more expense

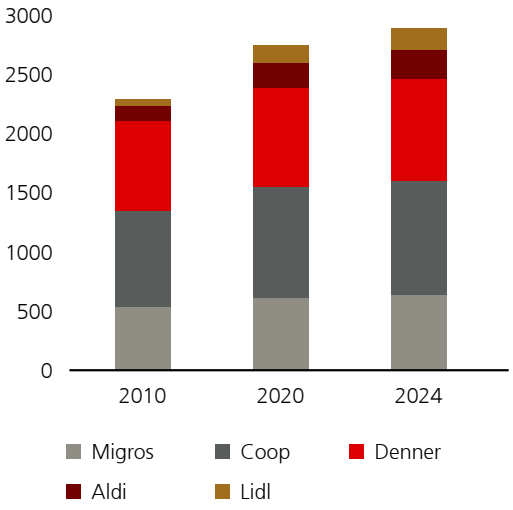
Greater flexibility in the way leases are structured (e.g., short-term leases for pop-up stores and seasonal providers, sales-related rental models and options to shorten or extend) may improve the prospects for renting properties out. The same goes for the option to adjust the size of a property at short notice by means of modular or co-sharing concepts.

It is also possible to boost rental income by optimizing use, for instance by creating multi-purpose spaces, promoting the focus on the experience and providing additional services such as parking places and support with marketing and logistics. It can also make sense to convert stores into apartments on upper floors – provided zoning regulations allow this.

Figure 23

Strong growth in branches of food discounters

Number of branches



Sources: Aldi, Coop, Denner, Migros, Lidl, GfK, UBS

Top locations an island of stability

So far the top locations in the largest cities in Switzerland have been spared the wave of consolidation. According to real estate advisors CBRE, top rents on Bahnhofstrasse in Zurich can be as high as CHF 11,500 per square meter per year, and vacancies are not an issue at 1%. Current rents are more than one-third higher than they were in 2010.

In Geneva, top rents are roughly CHF 7,000 per square meter and vacancies slightly higher at 2%. The main shopping streets in Basel, Bern and Lucerne likewise have almost no unoccupied space (although top rents are considerably lower). Overall, CBRE estimates that the average vacancy rate in top locations in Switzerland is 2.3%.

High Streets still popular

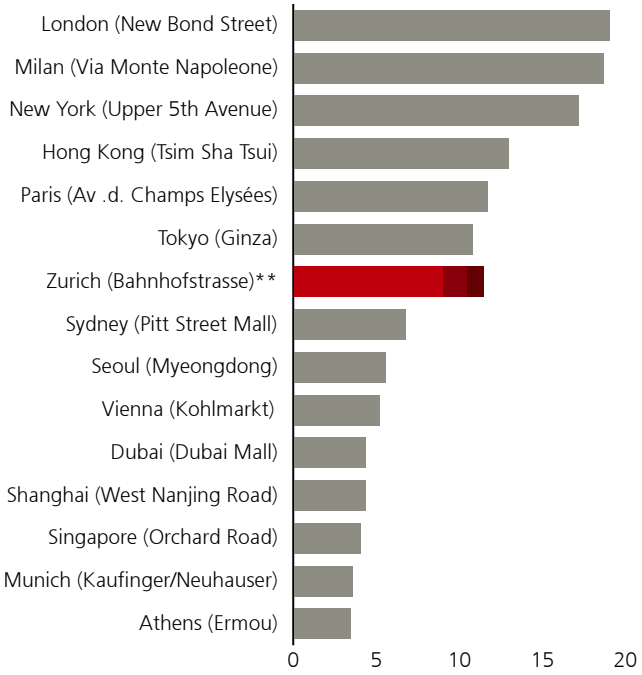
The relative strength of top locations is not just a Swiss phenomenon. High Streets remain in demand the world over. International brands are focused on top sites with high footfall and maximum visibility. Frequently, the primary focus is not the sales generated by a store, but the boost to the brand image and presence ("showrooming"). Real estate advisors Cushman & Wakefield report that top rents on High Streets in the third quarter of 2025 rose by a global average of 4.2% (previous year: 5.0%).

Bahnhofstrasse in Zurich is one of the ten most expensive shopping streets in the world. When you look internationally, though, there are a few destinations that are even further ahead: New Bond Street in London has top rents of almost CHF 20,000 per square meter per year, up more than 20% in a single year. Next come Via Montenapoleone in Milan at just under CHF 19,000 and Upper 5th Avenue in New York at CHF 17,000. The top locations in Hong Kong, Paris and Tokyo are also in five digits. In Vienna, top rents are CHF 5000, and in Munich CHF 3,500 – in line with Lucerne and Bern. If you look outside the global top 20, figures come down to less than CHF 3,000.

Figure 24

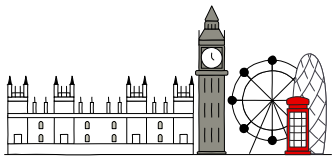
The world's highest retail rents are in London and Milan

Rents for stores in top locations for the 15 top addresses,* as at the third quarter 2025, in CHF thousands per square meter per year



* The Cushman and Wakefield study does not cover Geneva. According to Wüest Partner, top rents for stores in Geneva stand at CHF 7,200 per square meter per year; CBRE puts them at CHF 6,500. ** For Zurich, Cushman & Wakefield estimate top rents to be around CHF 9,000 per square meter per Year; Wüest Partner say CHF 10,500, and CBRE CHF 11,500 (the different estimates are shown in different shades of red in the bars).

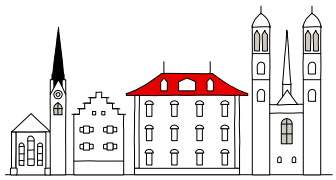
Sources: Cushman & Wakefield, Wüest Partner, CBRE, UBS



New Bond Street

19,100

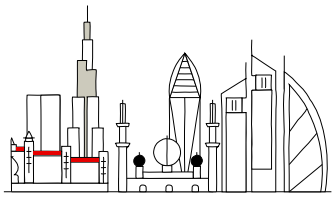
CHF per m² per year



Bahnhofstrasse

9,000

CHF per m² per year



Dubai Mall

4,400

CHF per m² per year

A sensible addition to a portfolio

The Swiss market for logistics properties is continuing to benefit strongly from the boom in online shopping and, in our view, offers attractive returns. But a shortage of properties, regulatory barriers and the high share of own users limit growth—and call for selective investment strategies.

Fabian Waltert

With the return of low interest rates, institutional investors are again focusing on real estate. Multi-family homes and high-grade office buildings are still the first port of call for many investors. But making additional purchases when peak yields are in some cases less than 2% dilutes portfolio returns. So there is increasing demand for niche investments that offer higher returns but require more expertise.

Attractive diversification for large real estate portfolios

Hence, higher-yielding segments like logistics and industrial properties are becoming more attractive once again for real estate investors in Switzerland. According to CBRE,[6] in 2025, Swiss investment vehicles focusing on this sector raised CHF 500 million—a record.

In addition to higher yields—according to CBRE, peak yields on logistics properties in 2025 were around 4%—adding such investments to a portfolio provides improved diversification. Logistics properties are subject to other value drivers than established commercial and residential property companies with high market volumes.

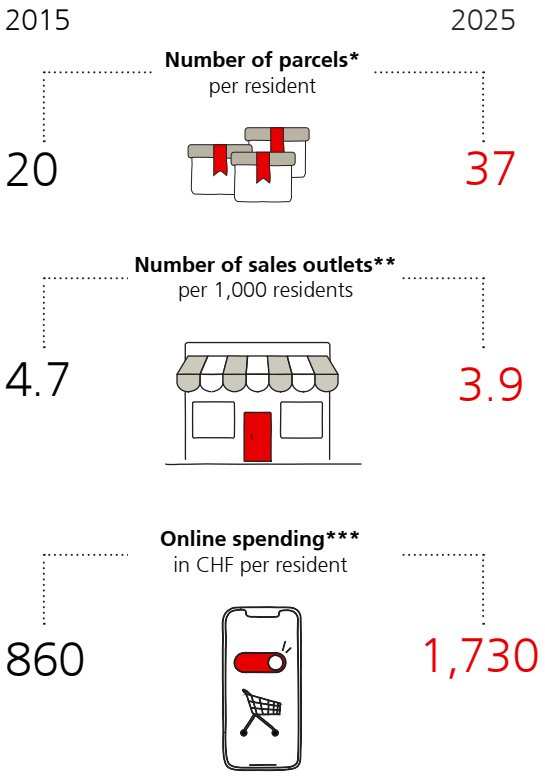
Flood of goods from East Asia increasing demand for space

Multi-family homes are currently being affected by increased regulatory risk and retail and office properties suffering from structural declines in demand, but modern logistics properties are benefiting from the sustained shift in sales from bricks and mortar to online retailing. This is not just causing a higher demand for space, it also means increasing demands are being placed on logistics properties. In addition to

Figure 25

More parcels, fewer sales outlets

Key figures on bricks and mortar and online retailing in 2015 and 2025, 2025: UBS estimate



* Standard parcels, plus express and courier deliveries, including cross-border deliveries
** Retail bricks and mortar outlets, excluding car dealerships, garages, and gas stations
*** Including foreign providers

Sources: PostCom, FSO, Swiss Retailers Trade Association, UBS

6 CBRE Switzerland, Logistics and Light Industrial Real Estate 2026, January 2026.

short delivery times, buildings must be suitable too for deploying picking systems and providing further services such as returns management.

Online shopping has picked up further speed in the last three years, mainly driven by foreign providers, principally from China. According to the Swiss Retailers Trade Association, cross-border online shopping by Swiss households grew by double-digit percentages in 2023 and 2024, and was up a further 8% in 2025. Most of these retailers do not run their own logistics infrastructure in Switzerland, but they are fueling demand for space. The number of deliveries shipped by the Swiss Post Office and other parcel services has almost doubled in the last ten years.

Demand for industrial properties declining

Demand for properties for distribution and parcel centers to handle the last mile of deliveries will therefore likely rise further. At the same time, these properties are suitable for investment because their flexibility and good locations mean they can generally be used by third parties. Warehouses close to manufacturing sites, by contrast, could increasingly feel the effects of the industrial recession (see box 7).

Risks of tariffs and trade barriers are causing output to fall and manufacturing and warehousing to be moved abroad. Demand for space likely declined in 2025, and there is little prospect of any improvement in the current year. Since warehouses close to manufacturing sites are mostly owned by their users, this is having a limited impact on the transaction market.

High barriers to new construction projects

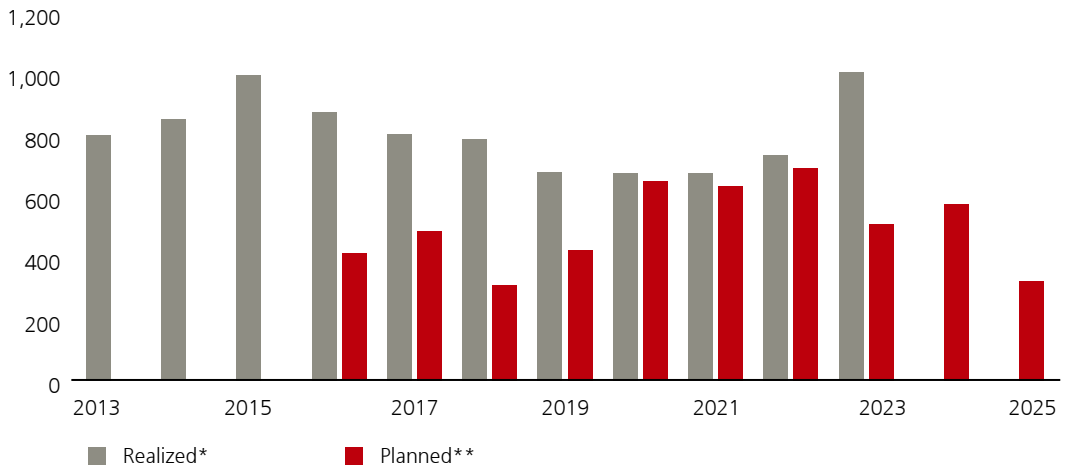
Compared to other commercial space, the market for logistics properties is not liquid. CBRE puts the supply ratio in 3Q25 at just 2.1%. There is no general shortage of space, but large properties with good transport connections close to conurbations are hard to find. After years of declining construction activity, investment in building warehouses reached a record of over CHF 1 billion in 2023. However, the decline in construction applications in recent years suggests no trend reversal is likely in the supply of property.

It is difficult to develop large new logistics properties without a direct link to a production facility. Even changing the use of existing properties often encounters resistance because of the increased traffic and low job density. In many cases, zoning regulations prevent

Figure 26

Investment in logistics construction facing a steep decline

Realized and planned construction investment for new, converted, and extended warehouses and logistics properties, in CHF millions



* All construction projects in the warehouse and depot sectors, 2013–2023
** Planned projects in excess of CHF 10 million where the main use is logistics, based on construction applications, 2016–2025
Sources: FSO, Infopro Digital, UBS

use for logistics purposes—even in what are clearly industrial areas. The strong growth in demand for data centers is also creating competition for the most attractive sites for logistics properties. Both are special types of property and both have roughly similar location requirements. Data centers cause fewer emissions (noise, traffic) and are mostly backed by international groups with deep pockets.

An attractive market, but hard to access

Logistics and industrial properties have risen to become one of the most important real estate asset classes globally (see the chapter Real estate investments—global, p. 42), but they are much less significant in Switzerland despite this growth. Between 2019 and 2023, just 6% or so of construction investments by institutional investors went into these segments. This is partly due to the limited scale of the Swiss logistics market and partly due to the high share of own use.

Nevertheless, owing to their relatively high yields and potential for diversification, logistics properties make a sensible addition to large real estate portfolios, in our view. But direct investments are restricted to institutional investors with the relevant expertise in the logistics market. Since developing logistics properties is made difficult by the large number of barriers, buying on the transaction market, as part of a sale and lease-back deal, for instance, is often the most promising approach.

Growth with limits

The sustained growth in online sales and shortage of supply of large, modern, and sustainable logistics properties suggest values will remain firm. However, the strong cost pressure on retailers and logistics operators limit the potential for rising rental income. There is also the risk that users increasingly shift their logistics capacity to neighboring countries—a trend that has been apparent in industrials for some time now. For example, in 2025, Migros subsidiary Digitec Galaxus opened a major logistics center in Neuenburg am Rhein in Germany, near Basel, from which to deliver to Swiss clients.

Box 7

Industrial job creation weak

Swiss industrials remain under pressure: US tariffs, the strong franc, and a weak EU economy have hit business hard recently. The PMI for Swiss industry has been below the growth threshold since the start of 2023. This is increasingly apparent in the employment numbers: Employment in the sector declined 0.2% in 2025.

Regardless of the state of the economy, in recent years, growth has been heavily concentrated in a few areas within the industrial sector. In the last five years, a total of roughly 36,000 new jobs have been created, accounting for approximately 11% of total employment growth. The engines of this growth have been the construction, pharmaceutical, and watch industries, which together generated some 30,000 full-time jobs over the last five years.

At the same time, companies in the chemicals, wood, metals, and textile industries have been reducing headcount.

From an investor's perspective, we believe a selective approach is required when getting into industrial real estate. The most suitable investments are logistics and light industrial properties that can be used flexibly and by third parties, plus special properties with high potential demand, such as lab spaces and data centers. For traditional industrial properties, changes of use—even outside major centers—will continue to gain in importance, in our view. Depending on location, the range of potential new uses extends from logistics to loft apartments.

Real Estate Investments



Getty images

A boom with an expiry date

Swiss real estate investments have delivered a strong performance since 2022. But prospects are being clouded by high valuations and weaker fundamental data. The ongoing glut of capital could also affect portfolio quality. Returns are therefore likely to be below average in the coming quarters.

Maciej Skoczek

Over the past few years, Swiss real estate has been one of the best-performing listed investments. Between mid-October 2022 and the end of February 2026, it generated a total return of 62%, according to the SREAL index. This is equivalent to an annualized performance of around 16%—more than twice the average annual return in the last 20 years. Swiss real estate investments have also done well by international standards: Over the same period, the Swiss stock market, as measured by the Swiss Performance Index, posted a total return of about 47%, the EPRA European real estate index 25%, and the RUGL index of global listed real estate investments 18%.[7]

Drivers of the boom

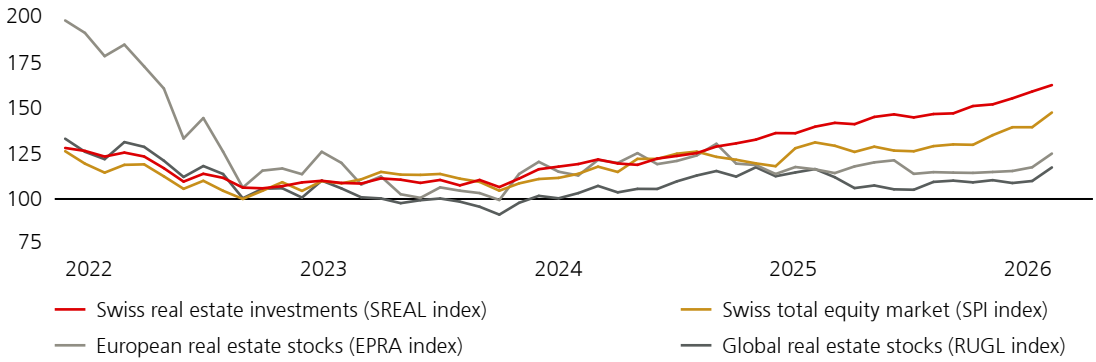
The outperformance can be put down to several factors. These are the three most important:

1. *The investment crisis and stock market rally*
   In an environment of rising stock markets, the relative allocation to real estate in the portfolios of large institutional investors declined, creating additional scope for new investments in real estate. At the same time, the decline in interest rates created an investment crisis. Against this backdrop, real estate was a particularly attractive investment, as it offers a clear yield pick-up over high grade bonds.

Figure 27

Swiss real estate investments are on the rise

Total performance of different listed asset classes, month-end data in CHF
Index: 13 October 2022 = 100*



* The SREAL index hit its low point on 13 October 2022.

Sources: Bloomberg, UBS; as of 28 February 2026

7 Calculated in CHF.

2. *Demand for safe investments*
   Geopolitical and economic uncertainty made low-risk investments in stable currencies more attractive. Swiss real estate not only met these requirements, it also offered higher growth potential than many European markets. The Swiss economy proved to be robust when sentiment deteriorated in the Eurozone. International investors responded by increasingly adding to their positions in Swiss real estate.

3. *Positive market environment*
   Real estate funds and stocks benefited from a favorable market environment. Gross rental income for the largest funds[8] has risen by almost 15% since 2020, while average defaults have hit a historical low. Large-cap real estate stocks[9] were able to boost their rental income per share by around 6% in the last five years, while default rates declined further. Low discount rates—which fell to 2.9% on average—and rising market rents sometimes led to substantial valuation gains.

Risks to portfolio quality

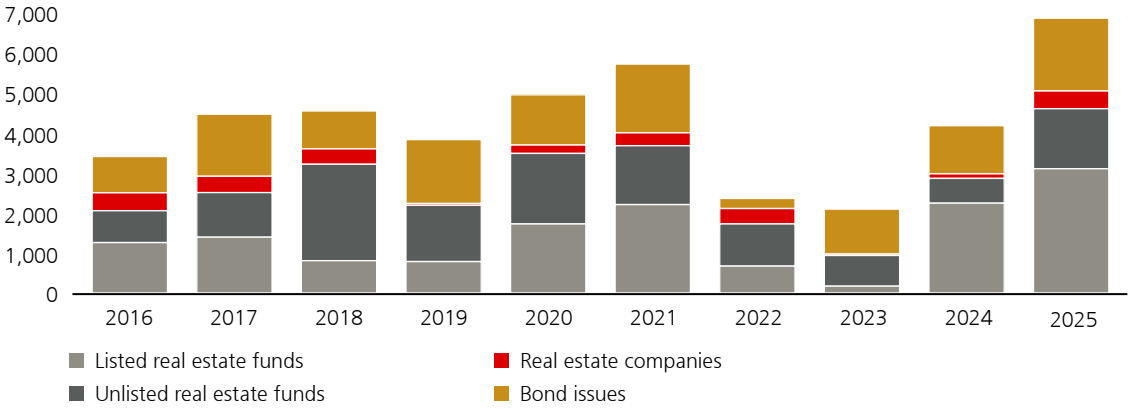
Swiss real estate stocks and funds saw record capital inflows in 2025, in parallel with their price gains. Almost CHF 7 billion was raised across all types of financing—60% more than the ten-year average. For listed real estate funds alone, the volume of newly issued units was over CHF 3 billion— twice the long-term average. The high inflows mean investment vehicles are faced with challenges to invest the additional funds promptly in projects that will deliver a healthy return.

Some of the money will likely go into renovation projects to improve property yields in the medium term. However, planning and construction capacity is tight, limiting the ability to execute renovation projects outside the normal cycle. Also, work brought forward on good-quality properties often generates a low return. Therefore, much of the money will probably go into expanding portfolios. But in coveted locations, often only old buildings are for sale. Buying and then renovating these can be complex and often involves an uncertain return. The consequence of the glut of capital may therefore be either a switch of portfolios toward less attractive locations or diluted returns.

Figure 28

Record amounts of capital raised

Capital increases and new issues of bonds, shares, and fund units by real estate funds and companies, in CHF million per year



Source: UBS

8 UBS Sima, UBS Swissreal, UBS Anfos, UBS Foncipars, UBS Direct Urban, UBS Direct Residential, Swiss Residential Siat, Swiss Commercial Interswiss, UBS Direct Mixed Urban, UBS Direct LivingPlus, UBS Direct Hospitality, Swisscanto IFCA, Schroder ImmoPLUS, Immofonds, La Fonciere, FIR, Solvalor61, SwissLife REF, Rothschild RE Swiss, Realstone, and ZIF Immobilien Direkt included. These made up roughly 75% of the market capitalization of all real estate funds listed on the Swiss stock exchange at the end of 2025.

9 SPS, PSP Swiss Property, Allreal, Mobimo, and Intershop included. These made up roughly 80% of the market capitalization of all real estate companies listed on the Swiss stock exchange at the end of 2025.

Fading tailwind

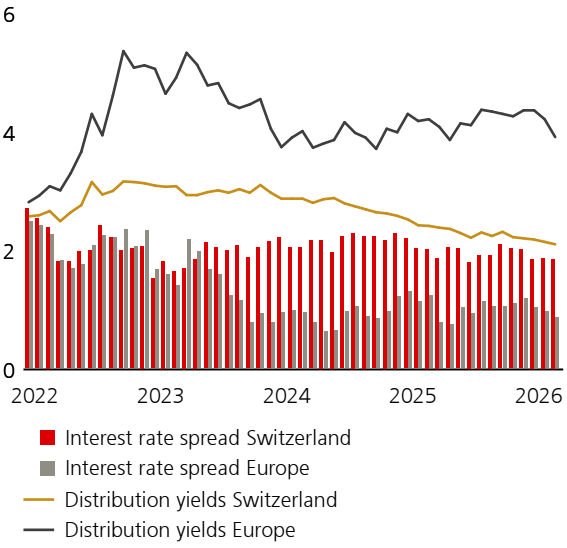
Swiss real estate investments will probably not be able to keep up the strong results seen in recent years over the coming quarters. First, valuations are historically high: At the end of February 2026, premiums on real estate funds were 39% on average—on real estate stocks, almost 50%. Second, distribution yields are only just over 2%—a historically low figure and only half the level of European peers. The low distribution yields remain internationally attractive because of the low interest rate environment in Switzerland, but if the current high yield spread between Switzerland and the Eurozone were to come down, Swiss real estate investments could become considerably less attractive.

Third, weaker fundamental data may well have an increasingly negative impact on the operating results of real estate companies. Slow economic growth and stagnating employment in office professions are making the rental prospects for commercial properties worse, especially outside top locations. The potential for higher residential rents is also declining, as ever fewer households can afford the increased rents. Also, the risk of regulatory interference in the market for rental apartments is weighing on return prospects, along with the potential risks to property values.

Figure 29

Low distribution yields, high interest rate spread

Distribution yields of Swiss and European listed real estate companies, in percent, and estimated interest rate spread over ten-year government bonds, in percentage points



Sources: Bloomberg, SNB, UBS

Hesitant upwards trend

After years of volatile performance, global real estate markets are now showing the first signs of stabilization. Attractive valuations encounter an improved economic environment. Structural trends and sectoral divergences mean investors need to take a selective approach. Industrial, logistics and residential still well placed.

Thomas Veraguth

Since 2000, direct global real estate has generated an average annual return of just over 7%, driven by a running yield of about 5.5% and a capital return of around 1.5%. However, recent years have seen a distinct cycle of boom and bust – with an intensity in some segments reminiscent of the global financial and real estate crisis of 2008 and 2009.

Valuations peaked in 2022, after which rising interest rates and structural shifts in demand (especially the trend toward working from home) resulted in sharp corrections in the office segment. The total return on the global office sector over the last three years has been about -15% – a hefty fall in value – making it by far the weakest segment. Stores were already under pressure, even before the lockdowns in 2020. Since then, though, a recovery has been apparent: The total return from December 2020 to September 2025 was 19%.

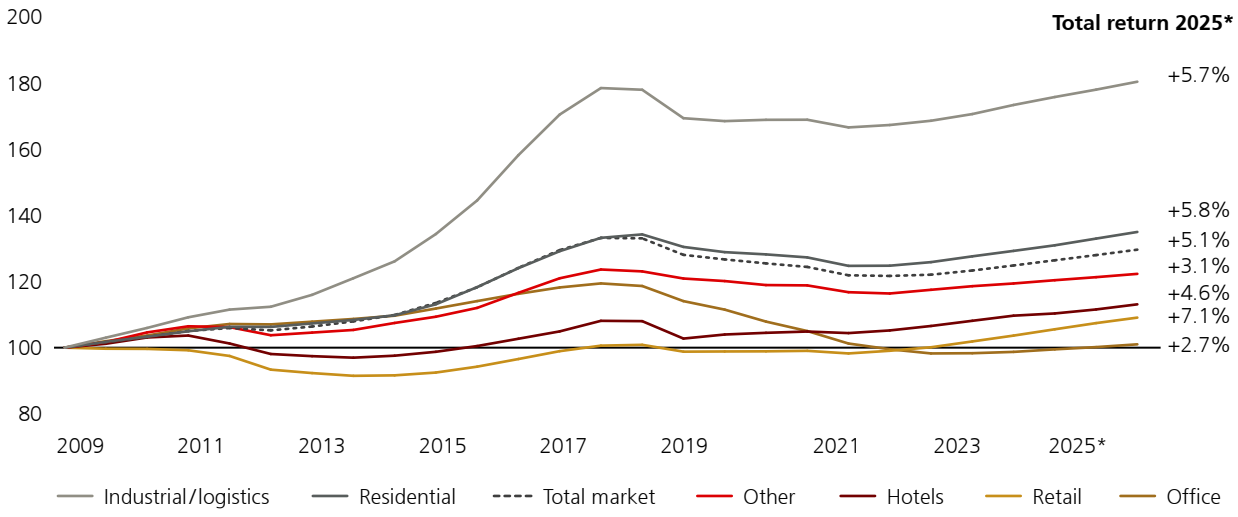
Major shifts between sectors

The shifts between sectors have been particularly pronounced in recent years; offices and retail have declined considerably in significance, while industrial and residential have gained correspondingly strongly.

Figure 30

Industrial and logistics outperform

Total return on global direct investments, by sector, in US dollars, indexed: 1Q 2009 = 100



* Total return year on year as of 3Q25

Sources: MSCI Real Assets, UBS

In 2008, offices and retail accounted for around three-quarters of global capital value; today, the figure is only about one-third. The share of industrial has risen so sharply that, by 2025, as much capital was tied up in the segment as in offices in 2008. The residential sector has benefited from structural shortage and sinking affordability; its percentage of global capital value has tripled since 2008 and now stands at around 25%.

Since 2024, industrial, logistics and retail have been showing the first signs of stabilization. The market volume of online shopping was previously growing strongly, but is now showing only modest increases at a high level. Traditional stores are still suffering from the shift in sales toward the online channel. Logistics properties continue to be major beneficiaries of this trend.

Retail: indications of recovery

The indications of recovery in the retail sector are based on rising incomes and declining inflation. Investment activity is showing signs of life after a long period of stagnation and confidence is gradually rising. The trend is also being supported by robust sales and stable footfall.

Shopping centers are benefiting from solid demand and tight supply, with strict regulations making new projects very difficult in many agglomerations. At the same time, retailers are increasingly turning to multichannel strategies – i.e., selling through different channels simultaneously – and playing an increasing part in the ongoing transformation driven by online shopping.

Industrial and logistics: solid fundamental data

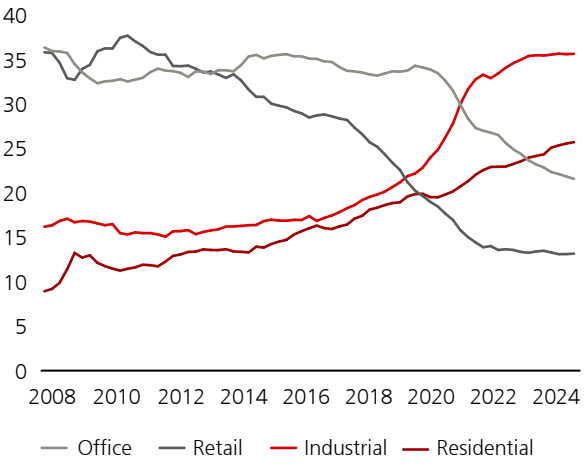
After a long upturn that has now cooled, demand for industrial and logistics properties has stabilized at a high level. The main drivers of demand are still e-commerce, re-industrialization and the desire for shorter supply chains. The risk of excess supply remains low, as new building activity is low due to limited availability of sites and restrictive land reserves.

Vacancies have risen slightly but remain within the mid-single-digit percentage range. Rental growth has weakened after the boom years but is still positive – and the fundamental indicators are clearly supportive of the segment over the medium and long term. Supply chain infrastructure and last-mile properties are particularly attractive, with increasing attention being paid to choice of location. The rapid growth being seen in artificial intelligence (AI), robotics and autonomous systems are further boosting demand for high-performance infrastructure. Operators of data centers are therefore investing heavily in new capacity, with a focus on quality of location, security, availability, and stability of electricity supply.

Figure 31

Office segment continues to decline in significance

Weight of market sectors in global real estate portfolios, in percent



Sources: MSCI Real Assets, UBS

Offices: caught between pressure to adapt and glimmers of hope

Office properties remain under pressure all over the world and are far from any normalization. According to MSCI Real Assets, the vacancy ratio at the end of the third quarter of 2025 stood at 17.3% – a historical high, despite minimal new construction activity. High-quality properties are hardly affected, but hybrid working is continuing to hold demand back.

AI is stimulating additional dynamism, but at the same time, it's raising questions about demand for space in the future. Stricter requirements for energy efficiency and modernization are widening the gap between modern and aging buildings. Changing use – into residential, hotels or logistics properties – is increasingly common, but can only cut the high level of vacancies to a limited extent.

Residential: strong demand, rising regulatory risks
All over the world, the residential real estate market is suffering from undersupply. In the US, the population has doubled since the 1960s, but scarcely any more houses are being built now than back then – the result is the same shortage of supply as can be seen in Europe. It has become much more expensive to own property, so demand for rental apartments remains strong.

Population growth and rising incomes are driving rents higher. At the same time, high land prices, stricter energy regulations and the high cost of building and renovating are making the structural shortage worse. The sector remains attractive, in our view, despite the potential risk of rent controls.

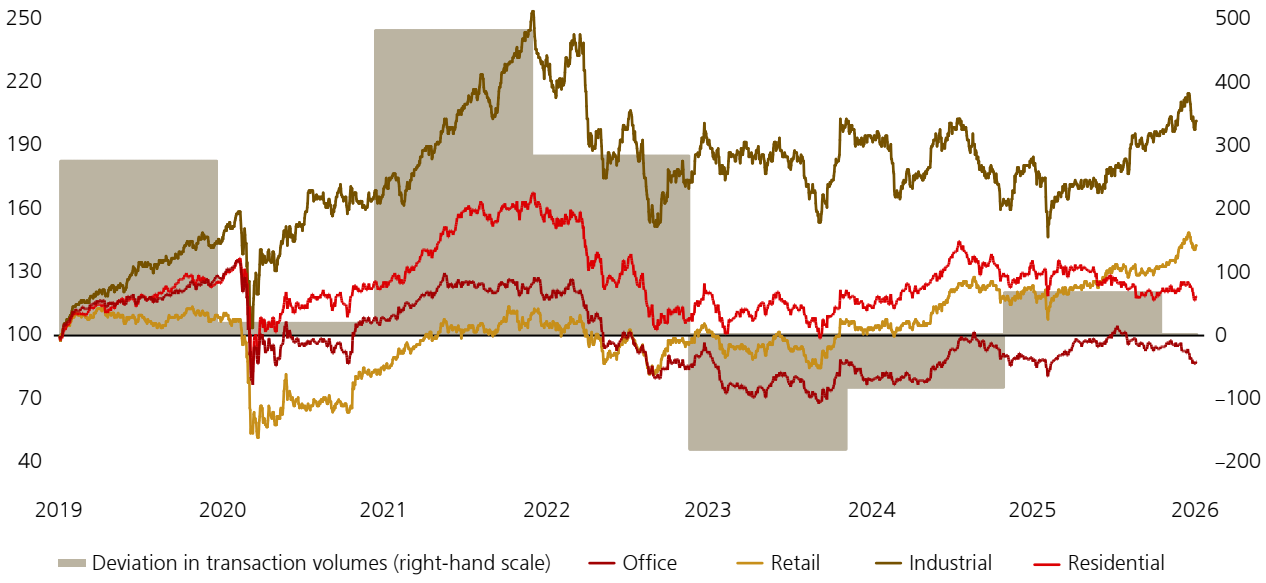
Outlook for 2026: selectivity the key to success
We anticipate further recovery in 2026; market prices have been hovering around an appropriate level, opening up additional potential. Listed real estate investments are also showing a modest upward trend at the moment. Central banks are well advanced in their rate-cutting cycles, while supply looks set to remain limited and support property values. A clearer outlook on the expectations for long-term interest rates would be an important signal, as the trough in the European rate cycle is already largely priced in. By contrast, further cuts can be expected in the US.

However, investor expectations can shift rapidly and significantly, depending on how the economy performs. For investors with a longer investment horizon, 2026 could present an attractive entry point into direct real estate investments. For all other investors, careful selection of investments remains essential. A broad spread of positions across all sectors is not likely to be particularly profitable. We expect high-quality locations and buildings to remain in demand and would focus on leases with solid growth prospects and pursue active management of portfolios.

Figure 32

Global listed real estate investments showing hesitant recovery

Total return of listed real estate investments in US dollars (indexed: 2019 = 100, left scale); transaction volumes of direct investments: annual deviation from long-term mean (since 2006), in USD billions (right scale)



Sources: FTSE EPRA NAREIT, Bloomberg, JLL, UBS; as of 18 March 2026

Sustainability



Getty images

Replacement of heating systems falters

The current rate at which heating systems are being replaced is not sufficient to achieve net-zero by 2050. There is considerable work still to be done, but the number of energy refurbishments has declined recently. It will likely not be possible to pick up the pace as required until new cantonal Energy Acts are introduced.

Thomas Rieder, Maciej Skoczek

According to the UBS Worry Barometer, in each of the last three years, the issue of protecting the environment, climate change and environmental disasters has ranked second among the biggest concerns Swiss people have. Energy issues are becoming an increasing focus of intense concern. Awareness of sustainability has been rising, but to date there has been no identifiable pick-up in speed along the path toward a more sustainable stock of buildings.

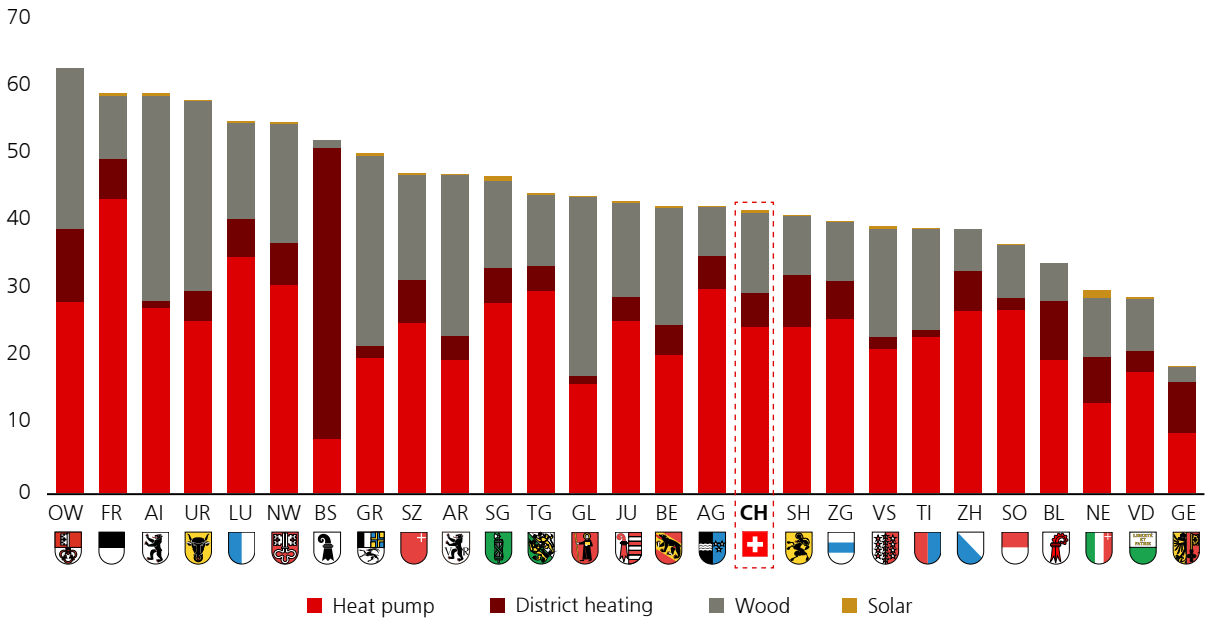
Most homes still heated by fossil fuels

Buildings in Switzerland are still a long way off the net-zero objective. At the end of 2025, just 42% of all homes had a sustainable heating system. The highest percentages are in the cantons of Obwalden (63%) and Freiburg and Appenzell Innerrhoden (both 59%). At the bottom of the list come the Cantons of Neuchâtel (30%), Vaud (29%) and Geneva (19%), all in the west of the country.

Figure 33

Considerable differences between cantons in sustainability efforts

Percentage of sustainable heating systems in homes by type of heating and canton as at end-2025



Sources: FSO and UBS

For years now, hardly any new buildings have had fossil fuel systems installed. So, what matters when it comes to achieving the climate objectives is replacing heating systems in existing older buildings. But sales of heat pumps were down in 2025 for the second year in a row to around 30,000 units for new and old buildings – almost one-third off the peak seen in 2023.

A similar picture can be seen in photovoltaic installations: we estimate the number of additional systems installed fell 18% over the same period. According to the Association of Swiss Heat Pump Professionals, oil and gas heating systems still made up 24% of all heating systems sold, and 14% are burners for these systems. The main reasons given are the current high price of electricity and the lower prices of oil and gas.

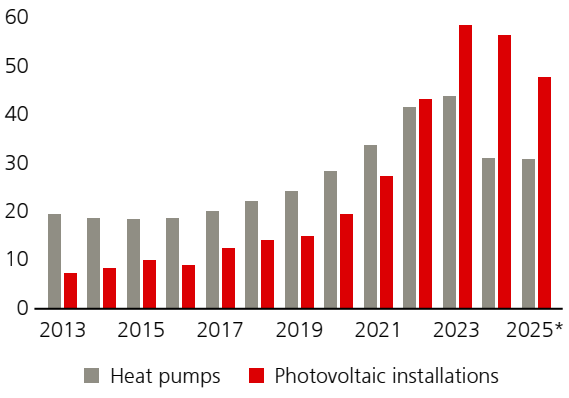
Number of heating systems replaced too low by one-third

The Federal Register of Buildings and Dwellings indicates that 43,000 more homes had sustainable heating systems at the end of 2025 than one year previously. However, this rise is to a considerable extent due to corrections to the register, and does not reflect any increased refurbishment activity. We estimate that only just under 25,000 homes had oil and gas heating replaced by sustainable systems in 2025. To meet the objective of having no more fossil fuel heating systems in use by 2050, 40,000 conversions or so per year would be necessary. Even if corrections in the buildings register continue at the same pace over the next few years, this only brings the number needed each year down to around 36,000 buildings. The shortfall in refurbishments remains substantial.

Figure 34

Replacement of heating systems has been declining recently

Number of heat pumps sold and photovoltaic systems installed (in thousands of units)



* Photovoltaic installations: UBS forecast

Sources: Association of Swiss Heat Pump Professionals, Swissolar, UBS

It is remarkable that energy refurbishments continue to make only sluggish progress despite high subsidies and tax deductibility. Our analysis in the next chapter takes a single-family home as an example to demonstrate that changing heating when a fossil fuel system reaches the end of its expected life is likely to pay off financially.

Fossil fuel heating bans draw nearer

With progress still coming too slowly despite extensive financial incentives, cantons are increasingly turning to bans on fossil fuel heating systems. Regulations to this effect are already in force in the two half-Cantons of Basel, as well as in Geneva, Glarus, Neuchâtel and Zurich. In the 2025 Model Cantonal Energy Regulations, all cantons committed to further tightening their Energy Acts. In particular, the model regulations provide for a ban on fossil fuel heating systems and an obligation to install own generation facilities in all new builds and refurbishments. The intention is that no more fossil fuel heating systems should be installed after 2030. This aims to ensure that all fossil fuel systems will have been replaced by 2050, assuming an expected life of 20 years.

We have to assume, however, that implementation of the new regulations will be delayed. The cantons are indeed obliged to adopt the provisions approved in the basic module of the 2025 model regulations in their Energy Acts, but when it came to the 2014 model regulations, fewer than half the cantons had fully implemented them within five years. However, owners and developers should bear in mind that under the 2025 model regulations, all heating systems must operate solely on renewable fuels from 2050 onwards.

District heating the key to sustainable urban development

The 2025 model regulations allow limited exceptions to the replacement of fossil fuel heating systems where a district heating network is already in planning and contractual arrangements for its use are in place. District heating systems may well become the key factor on the path to net-zero emissions, especially in urban centers

and the areas around them. At the end of 2025, 75% of all multi-family dwellings in medium-sized centers were still heated with fossil fuels. The picture is not much better in the large centers, or the agglomerations of large and medium-sized centers.

Installing heat pumps is often difficult or impossible in old city center districts due to lack of space, so district heating will likely be crucial to sustainably refitting the stock of buildings. This is the direction Basel is headed in – district heating should have replaced the existing gas network in the city entirely by 2030.

District heating is not economic everywhere

It is not possible to install district heating networks at short notice. In Zug, where the heat comes from Lake Zug, it will probably take 15 years to fully roll it out and completion will not be achieved until 2035. If a district heating network is to be economically successful, the area it supplies also has to have sufficiently high energy density. If a large number of smaller properties have to be connected, alternative solutions are often more attractive from an economic point of view.

There also needs a minimum number of participants for a network to pay its way. Sometimes binding commitments are even needed before construction has started. As abandoned projects in Stäfa, Rüschlikon and Rapperswil-Jona indicate, installing a district heating network is not a guaranteed success.

The net-zero objective remains achievable – but time is pressing

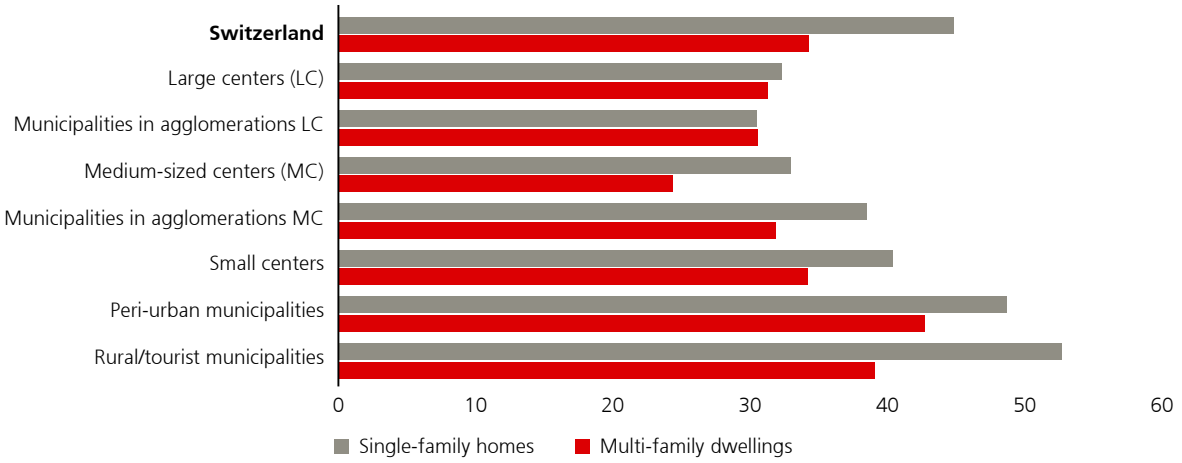
Given the estimated expected life of 20-25 years for heating systems, the net-zero objective still looks achievable from today's perspective. But with each additional year in which fossil fuel heating systems are installed, the probability of oil and gas heating still being in operation in 2050 rises.

If the net-zero objective by 2050 is to be met, fossil fuel heating will have to be replaced by renewable sources on a consistent basis from 2030 at the latest. The fact that fossil fuel systems still account for a high percentage of replacements underscores how unlikely it is that the objective will be achieved without the upcoming legal measures.

Figure 35

Major and medium-sized centers lagging

Percentage of sustainable heating systems by type of municipality and segment as at end-2025



Sources: FSO and UBS

Less support for refurbishments

The abolition of imputed rental value also means some of the tax deductions on renovation projects will be lost. Straightforward replacement of a heating system will remain profitable under the new tax arrangements, but additional investments in energy efficiency will likely more often be deferred in the future.

Maciej Skoczek, Thomas Rieder

We estimate at least one-third of single-family homes will need an energy refurbishment in the next ten years. The highest percentage of properties needing refurbishment (around 40%) is in the Canton of Glarus, followed by Basel-Landschaft, Geneva, Ticino, Vaud and Neuchâtel. Freiburg, Lucerne and Thurgau are at the bottom of the table with fewer than 30%.

The state has been paying a significant share of the costs...

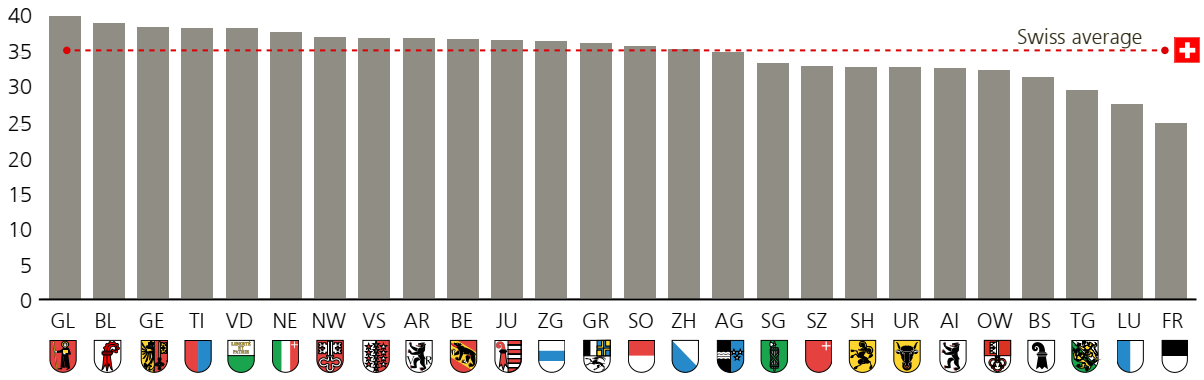
The biggest obstacle to renovating all properties is the cost involved. Installing a heat pump, combined with more minor refurbishment like replacement windows, costs around CHF 70,000 for an unrefurbished single-family home. On average across the cantons, at least one-third of this is covered by subsidies. On top of that, under the present tax arrangements, the remaining investment costs are tax deductible at both the federal and cantonal level, generating a refund of an additional one-sixth of the amount invested on a national average.

So across the country, the average net amount invested is roughly CHF 32,000 – this has to be borne by the owner. The range varies from just under CHF 27,000 in Ticino (where builders are particularly cheap) to more than CHF 39,000 in Zug (where low tax deductions make a major difference).

Figure 36

Considerable need for renovations to single-family homes

Estimated percentage of single-family homes* in each canton that will need an energy refurbishment in the next ten years.



* UBS estimate based on the Federal Register of Buildings and Dwellings

Sources: FSO and UBS

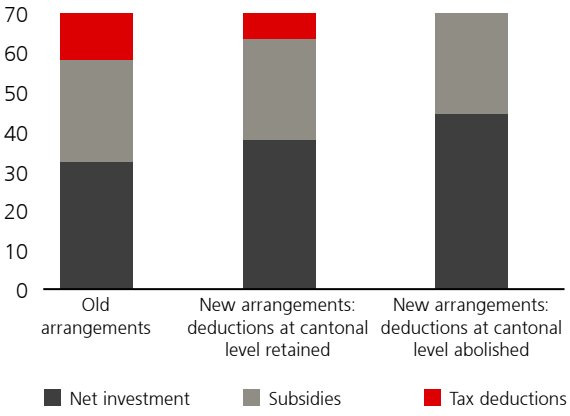
...but soon owners will have to pay more
The abolition of imputed rental value is expected to be implemented in 2028 at the earliest and means some of the current tax deductions will be lost. It will no longer be possible to deduct general maintenance costs from taxable income. At the same time, the intention is that at federal level, it will no longer be possible to claim deductions for measures to save energy or protect the environment or for rebuilding costs.

In the example given above, national average investment costs will rise by more than 16% to almost CHF 37,500 when imputed rental value is abolished. Uri, Ticino, Graubünden and Vaud will have the lowest net costs – less than CHF 33,000. At the other end of the table, we expect Thurgau, Obwalden, Zug and Appenzell Innerrhoden to each cost more than CHF 43,000. These higher costs under the new tax arrangements may also result in refurbishments being deferred, delaying the energy transition.

Figure 37

Switching to a heat pump is getting more expensive

Financing the investment in an air-source heat pump and replacement windows for a single-family home, broken down by source of funds; national average, before the abolition of imputed rental value (old arrangements) and after (new arrangements) (in CHF 000s)



Note: Tax deductions are estimated for a married couple with CHF 200,000 gross annual income.

Source: UBS

It is not clear yet whether the ability to deduct energy-saving measures for cantonal (as opposed to federal) tax purposes will remain in place. If the cantons end these deductions too, net costs across the whole of Switzerland will rise around 40% to over CHF 45,000. This would result in a range across the cantons from roughly CHF 35,000 to over CHF 50,000.

Replacing a heating system remains profitable
Investing in a heat pump will likely be worthwhile even under the new tax arrangements, despite the high upfront costs. First, the existing fossil fuel heating system has to be replaced once it has reached the end of its life. If the cost of this replacement is treated as an opportunity cost (i.e., the cost for a new heating system that you need anyway), the additional net investment for installing a heat pump is correspondingly less. Second, in the medium term, using a heat pump will probably result in lower running costs. We put the average annual savings of energy costs at roughly CHF 950 – assuming the price of heating oil rises 40% by 2050 while electricity prices remain constant.[10] These savings vanish entirely if the prices for the two fuels move in line with each other.

Under the current tax arrangements, installing a heat pump is amortized over about 12 years, well within the estimated useful life of 20-25 years. The differences by canton are considerable, though: The payback period is just five years in Uri, but nearly 20 years in Obwalden.

Cantonal tax deductions the key factor
Under the new tax arrangements – i.e., no more deductions at federal level for energy-saving measures – the national average payback period may come down to around ten years if deductibility at the cantonal level is retained. With maintenance deductions for replacing oil heating systems being discontinued, opportunity costs will rise. This will make the additional net investment cost for installing a heat pump somewhat lower than it has been.

10 Estimating the prices of energy sources over an extended period involves major uncertainty. We assume that the prices of fossil fuels will go up over the long term. If the producer price falls in the long term (due to lack of demand, for instance), legislators are likely to raise the price for consumers artificially by means of levies or higher taxes to not undermine the net-zero goal.

On the other hand, if the cantons also end the tax deductibility for energy refurbishments, then the return on an investment for a heat pump will fall considerably. The higher opportunity costs do not outweigh the increased tax burden. The payback period would fall under this scenario too, to around 17 years and more than 20 years in many cantons, casting doubt on the economics of installing a heat pump.

Question marks over energy efficiency

From a financial perspective, more extensive energy-saving measures like bringing forward improvements to the insulation of the facade or refurbishing the roof are often scarcely worth it. This is particularly the case where expensive materials are used. Generally, the additional savings on energy costs are not enough to cover the (often considerably higher) investment costs within a reasonable timeframe. Whether such measures are implemented ultimately depends on if owners attach more importance to increased comfort, a better indoor climate and a desire for sustainability than they do to financial returns.

From an economic perspective, owners should hold back on extensive energy-saving measures until the relevant elements need to be replaced. Under the new tax arrangements, with major restrictions on what can be deducted for tax purposes, such work will become noticeably more expensive for owners.

Fewer incentives for energy refurbishments

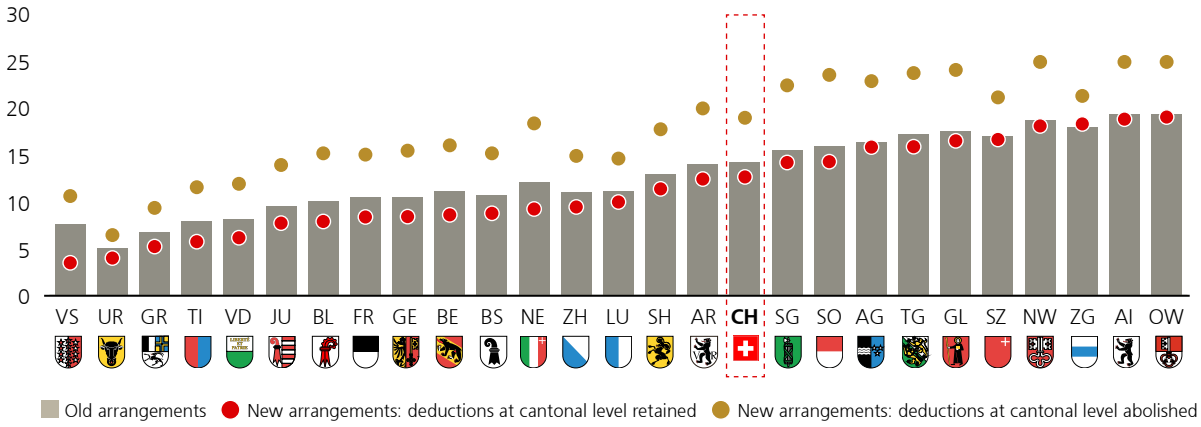
The change to the arrangements for taxing residential property will likely have a negative impact on achieving a carbon-neutral building stock. Straightforward heating replacement will likely remain financially worthwhile and the payback period will be shorter under the new arrangements. But given the rise in net investment costs once imputed rental value has been abolished, the trend in energy refurbishments is set to weaken.

Additional investments in energy efficiency such as facade insulation or roof refurbishments may be more frequently put off on cost grounds. Minor measures like buying new fitted domestic appliances that cost more to purchase but save electricity will also likely become less attractive.

Figure 38

Improved return on replacing heating in all cantons

Estimated payback period for an investment in an air-source heat pump and replacement windows in a single-family home, by residential property tax arrangements and canton, in years, ranked by payback period with cantonal tax deductibility retained



Basis of calculation: **1) Property:** Unrefurbished single-family home with an energy reference area of 160 m² and an oil heating system at the end of its expected life; **2) Investment costs:** CHF 70,000 for an air-source heat pump and replacement windows (to improve the efficiency of the heat pump); **3) Opportunity costs:** Replacing existing oil heating system and windows – CHF 20,000 to CHF 40,000, depending on scenario and canton; **4) Tax deductions:** Owned by spouses with CHF 200,000 gross income; **5) Energy prices:** Heating oil is 40% more expensive by 2050, electricity prices do not change; **6) Discounting:** Future savings on energy prices are discounted at 2% p.a. **7) Location:** Estimates for each cantonal capital.

Source: UBS

Overview and forecasts

Unless specified otherwise, all figures are year-on-year percentage changes at year-end

		10 years[1]	2019	2020	2021	2022	2023	2024	2025	2026[2]
Environment	**Economy and income**									
	Gross domestic product, real[4]	**1.9**	1.4	–2.3	5.9	3.5	1.2	1.2	1.4	**0.9**
	Gross domestic product per capita, real[4]	**0.9**	0.7	–3.0	5.0	2.6	–0.4	0.2	0.5	**0.1**
	Wages, real[3,4]	**0.1**	0.5	1.5	–0.8	–1.9	–0.4	0.7	1.2	**0.5**
	Inflation and interest rates									
	Average annual rate of inflation[4]	**0.8**	0.4	–0.7	0.6	2.8	2.1	1.1	0.2	**0.3**
	SNB benchmark interest rate	**–0.1**	–0.75	–0.75	–0.75	1.00	1.75	0.50	0.00	**0.00**
	Yield on 10-year Swiss government bonds	**0.1**	–0.5	–0.5	–0.1	1.6	0.7	0.3	0.3	**0.5**
	Population and employment									
	Population	**0.9**	0.7	0.7	0.7	0.8	0.9	1.7	0.9	**0.8**
	Unemployment rate[4]	**2.7**	2.3	3.2	3.0	2.2	2.0	2.4	2.8	**3.1**
	Employment, full-time equivalents[4]	**1.2**	1.6	0.1	1.1	2.7	2.2	1.3	0.2	**0.5**
Residential	**Owner-occupied homes**									
	Prices of condominiums	**2.6**	2.6	3.0	4.6	5.0	3.4	2.0	4.8	**3.5**
	Prices of single-family homes	**3.2**	1.8	4.7	6.8	5.1	2.4	2.9	3.4	**2.5**
	Growth in mortgage loans to private individuals	**2.6**	2.8	2.7	3.1	2.9	1.8	1.9	3.1	**3.0**
	Rental apartments									
	Purchase prices multi-family homes	**1.8**	1.5	3.2	6.9	4.6	–1.0	–0.7	5.9	**3.0**
	Asking rents	**0.0**	–0.9	–2.1	–2.6	1.6	4.7	2.3	2.2	**2.0**
	Existing rents	**1.4**	1.0	0.3	1.6	1.5	2.2	3.3	1.4	**1.0**
	Reference mortgage rate	**1.5**	1.50	1.25	1.25	1.25	1.25	1.75	1.25	**1.25**
	Net cash flow yield[5]	**3.2**	3.2	3.1	3.0	2.9	3.0	3.0	2.9	–
	Change in capital value[5]	**3.1**	3.4	4.0	4.2	2.7	–0.7	2.1	3.4	–
	Total return[5]	**6.3**	6.7	7.2	7.3	5.7	2.3	5.1	6.4	–
	Vacancies and residential construction									
	Apartment vacancy rate as at 1 June	**1.4**	1.7	1.7	1.5	1.3	1.2	1.1	1.0	**0.95**
	Building permits, relative to housing stock	**0.9**	1.0	1.0	0.9	0.8	0.7	0.8	0.8	**0.9**
Commercial	**Office space**									
	Asking rents	**–0.5**	1.6	0.2	–2.6	–0.8	–3.6	2.4	1.3	**–2.0**
	Number of offers	**4.5**	4.1	4.2	4.7	4.5	4.6	5.0	5.2	**5.5**
	Net cash flow yield[5]	**3.5**	3.6	3.3	3.2	3.2	3.4	3.3	3.4	–
	Change in capital value[5]	**1.1**	2.5	1.3	3.1	1.0	–2.3	0.2	0.9	–
	Total return[5]	**4.7**	6.2	4.7	6.4	4.2	1.0	3.6	4.3	–
	Retail space									
	Asking rents	**0.1**	–1.0	2.3	–2.9	–2.3	–0.3	0.8	2.8	**–2.0**
	Net cash flow yield[5]	**3.3**	3.4	3.2	3.1	3.1	3.1	3.2	3.2	–
	Change in capital value[5]	**0.5**	0.6	0.4	1.8	0.9	–2.6	0.7	1.7	–
	Total return[5]	**3.8**	4.0	3.6	5.0	4.0	0.4	3.9	5.0	–
Stock exchange	**Real estate stocks**									
	Total return	**9.4**	37.0	–6.7	4.4	–9.0	10.7	14.2	23.3	–
	Daily market turnover at mid-price (CHF millions)[4]	**36.1**	42.6	59.7	33.2	33.5	29.8	31.4	42.3	–
	Estimated premiums[4,6]	**17.7**	29.3	26.6	20.1	7.1	–1.5	6.0	23.4	–
	Volatility[4]	**11.5**	7.9	19.3	11.4	15.6	12.1	8.9	10.6	–
	Real estate investment funds									
	Total return	**6.5**	20.7	10.8	7.3	–15.2	5.0	17.6	10.6	–
	Daily market turnover at mid-price (CHF millions)[4]	**31.2**	28.9	32.2	34.7	33.0	32.5	39.1	44.7	–
	Estimated premiums[4,6]	**27.4**	27.0	31.3	42.5	23.0	10.8	22.3	34.2	–
	Volatility[4]	**10.8**	9.1	15.2	10.2	14.7	11.7	9.9	10.1	–
	Benchmark									
	Total return real estate investment foundations	**4.8**	5.2	5.1	5.7	4.9	2.0	3.8	5.0	–
	Total return Swiss Performance Index	**8.1**	30.6	3.8	23.4	–16.5	6.1	6.2	17.8	–
	Volatility Swiss Performance Index[4]	**12.9**	11.1	19.9	10.2	16.4	11.1	10.6	12.6	–
	Total return Swiss Bond Index (AAA)	**0.4**	3.5	1.5	–2.9	–13.9	8.6	5.5	–0.3	–

Sources: FSO, Bloomberg, BWO, Infopro Digital, JLL, MSCI, SECO, Wüest Partner, UBS

[1] Average: 2016 to 2025
[2] UBS forecast (as of 20 March 2026)
[3] According to the findings of the UBS Compensation Survey 2026
[4] Annual average
[5] Direct investment in existing properties
[6] Premiums to net asset value on real estate stocks and funds

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